

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures, sells and leases electric vehicles, energy-storage systems and solar products. It also provides charging, insurance, maintenance and driver-assistance software. The company is developing commercial robotaxi services and Optimus humanoid robots. Its integrated model spans manufacturing, software, charging and direct distribution across North America, Europe, China and other markets.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

348.52 USD

as of report date

TARGET PRICE

96.00 USD

12-month fundamental

IMPLIED UPSIDE

-72.5%

vs. current price

MARKET CAP

USD 1,270 bn

shares × price

ENTERPRISE VALUE

USD 1,277.2 bn

mcap + EV adjustments

P/E 2026E

267.9×

EV/EBITDA 2026E

76.9×

FCF YIELD 2026E

-0.4%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

-0.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 96.00 USD 12-month fundamental	CURRENT PRICE 348.52 USD as of report date	IMPLIED UPSIDE -72.5% vs. current price
MARKET CAP USD 1,270 bn shares × price	ENTERPRISE VALUE USD 1,277.2 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 267.9x · 76.9x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -0.4% · —



01 The market prices software-platform margins
The reverse valuation requires 2026 EBIT of USD 22.6bn versus the followed forecast of USD 5.7bn, plus a 43.2% terminal EBIT margin. This leaves little room for an extended manufacturing-led earnings mix.
43.2% implied terminal EBIT margin

02 Permission remains narrower than valuation
Texas has a small self-certified commercial fleet. California permits testing only with a driver, while Nevada limits Tesla's AV network to ten vehicles. Broad driverless economics remain an option, not a current profit engine.
10-vehicle Nevada cap

03 Existing businesses support value, not the quote
Automotive hardware, supervised software, storage, solar and ownership services have substantial value. However, their modelled intrinsic enterprise value remains well below control enterprise value before adding the optional businesses.
USD 189bn core-business EV

THESIS BREAKER

Broad driverless approval, supported by independently credible safety performance and profitable fleet scaling, would invalidate the probability assumptions behind the SELL.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

USD per share, with 12-month target line



CURRENT PRICE

348.52 USD

20 August 2026

TARGET PRICE

96.00 USD

12-month

IMPLIED UPSIDE

-72.5%

vs. current

52-WEEK HIGH

498.83 USD

past 12m

52-WEEK LOW

297.38 USD

past 12m

1-YEAR CHANGE

+5.0%

price only

3-YEAR CHANGE

+57.8%

price only

REPORT DATE

20 August 2026

READING THE MOVE

Three forces are competing: improving Q2 2026 vehicle deliveries, rapid growth in FSD users and storage deployments, and weak group earnings with rising investment. Autonomy announcements broadened the narrative, but California and Nevada permissions remain restrictive. The verified USD 115.8 target is well below the share price because the market values broad option success before the necessary regulatory and unit-economic evidence is complete.

VALUE BREAKDOWN · PART 1

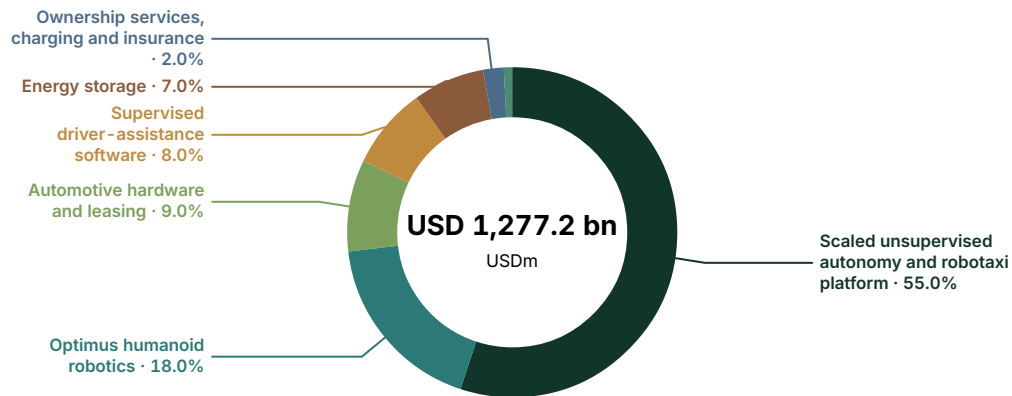
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT % OF TOTAL	BASIS
Scaled unsupervised autonomy and robotaxi platform	702,486	55.0%	0	0.0%	0	0.0%	Modelled allocation
Optimus humanoid robotics	229,904	18.0%	0	0.0%	0	0.0%	Modelled allocation
Automotive hardware and leasing	114,952	9.0%	68,026	71.7%	0	0.0%	Modelled allocation
Supervised driver - assistance software	102,180	8.0%	1,500	1.6%	0	0.0%	Modelled allocation
Energy storage	89,407	7.0%	12,000	12.7%	0	0.0%	Modelled allocation
Ownership services, charging and insurance	25,545	2.0%	12,530	13.2%	0	0.0%	Modelled allocation
Solar generation	12,772	1.0%	771	0.8%	0	0.0%	Modelled allocation
Total	1,277,246	100.0%	94,827	100.0%	4,355	0.0%	

VALUE BREAKDOWN · PART 2

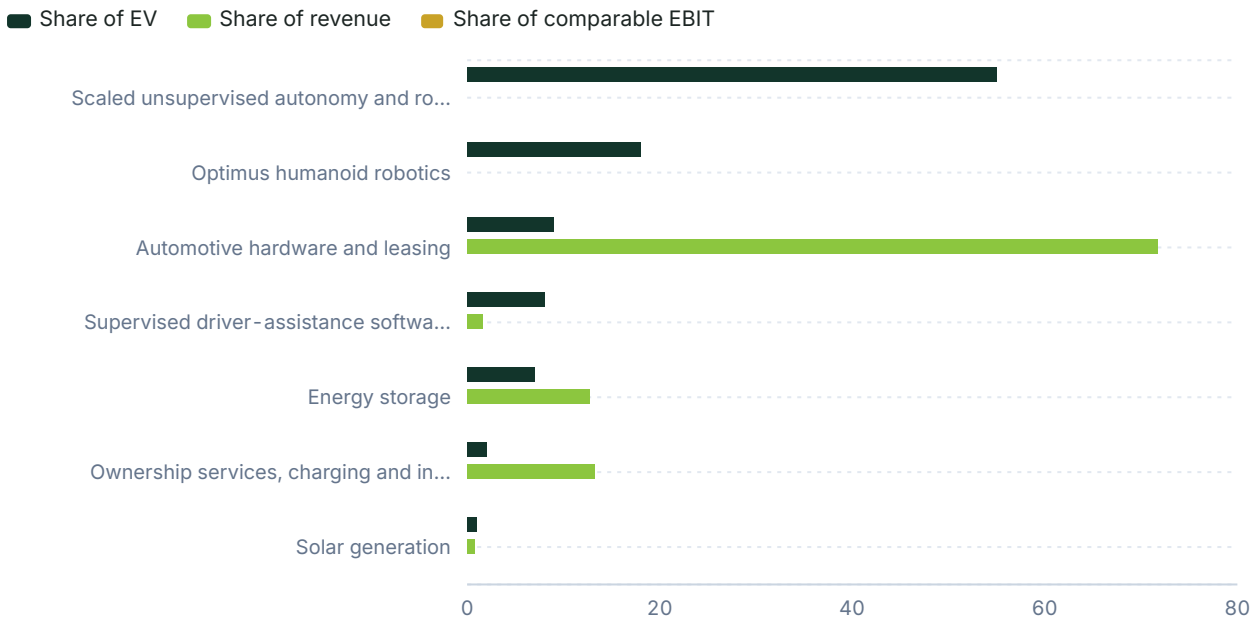
Where value sits versus where money is earned

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

05

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

The enterprise-value shares show how the current USD 1.28 trillion control EV is allocated across seven divisions. They show what the market must be pricing, not the report's intrinsic value for each division. Robotaxi and Optimus account for 73% of current EV despite being pre-revenue, while the five revenue-producing divisions account for 27%. The intrinsic SOTP is much lower because option outcomes are probability-weighted and discounted.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. The 12-month target price is USD 96.0, implying 72.5% downside from the current price of USD 348.52.

At USD 348.5201, Tesla's market cap is exactly USD 1.27 trillion and its enterprise value is USD 1.28 trillion. The reverse valuation reaches roughly USD 322 per share only if 2026 EBIT rises from the followed forecast of USD 5.7 billion to USD 22.6 billion and terminal EBIT margin reaches 43.2%. That profile resembles a scaled software platform more than Tesla's current mix. The followed model still forecasts negative FCFF in 2026 and 2027.

The evidence is not uniformly bearish. Tesla delivered 480,126 vehicles in Q2 2026, FSD Supervised reached 1.48m active users, and storage deployments reached 13.5 GWh. Cox Automotive reported that Tesla's US EV share rose to 55% in July. These are meaningful assets: a large installed base, proprietary driving data, a leading US fast-charging network and expanding storage capacity. They support a valuation above conventional automakers and mean the options should not be valued at zero.

The strongest case against SELL is that limited Texas driverless operations, Cybercab capacity and a 56% increase in FSD users may mark the start of a nonlinear platform shift. The robotaxi option could materially exceed the base valuation if Tesla secures broad driverless permissions, matches leading operators on crashes and interventions, and uses vehicle production as a low-cost fleet-supply channel. This does not change the call. California remains with-driver only, Nevada caps the fleet at ten vehicles, and the market already prices in much broader success.

The rating would improve if paid driverless fleets reach thousands of vehicles across several unrestricted jurisdictions, recurring FSD revenue exceeds the modelled path without eroding hardware margins, and Optimus publishes third-party uptime and task-cycle data. It would worsen if automotive gross margin remains near the lower reported Q2 range, storage price declines exceed cost reductions, or autonomy incidents delay permitting. The key investment indicators are regulatory fleet scale, paid software attachment and cost per deployed unit, not quarterly vehicle deliveries alone.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Most of Tesla's current market value sits in two pre-revenue options. Scaled unsupervised autonomy represents 55% of control EV and requires broad permission, cost below approximately USD 0.25 per mile, and millions of high-utilization vehicle-equivalents. Optimus represents 18% and requires productive uptime, build cost below commercial price, and third-party task validation. These two divisions explain more of the share price than reported automotive or energy revenue.

The current earnings base is automotive hardware, modelled at USD 68.026bn FY2025 revenue; supervised software at USD 1.5bn; storage at USD 12.0bn; solar at USD 771m; and ownership services at USD 12.530bn. The key measures are gross profit per delivery, paid FSD attach rate, gross profit per deployed GWh, renewed MW deployment and recurring revenue per vehicle in operation.

The followed model forecasts group revenue rising from USD 105.880bn in 2026 to USD 144.000bn in 2028. FCFF remains negative through 2027 before turning positive in 2028. Tesla's net cash can fund investment in the options, but this cash profile does not support the current valuation without much higher later margins. The analysis separates strategically useful assets from the price investors currently pay for them.

ANALYTICAL ANCHOR

The investment case is a probability question: current businesses support a substantial company, but the share price requires broad autonomy and robotics success before the evidence passes the relevant gates.

08.1

Scaled unsupervised autonomy and robotaxi platform

Business division deep dive — Emerging option.

SIZE OF THE PRIZE

A successful driverless platform would compete for household and enterprise transport spending, not only today's robotaxi revenue. ARK estimated a USD 10tn autonomous-mobility opportunity by 2030 and elsewhere put autonomous ride-hailing at USD 11tn–12tn. These are scenario estimates, not observed revenue. Published 2026 robotaxi-market estimates range from USD 1.18bn to USD 8.3bn, while another estimate was USD 2.63bn. The gap shows the difference between today's limited paid deployments and the spending that could shift if autonomous travel replaces private ownership and human-driven rides.

This report uses the USD 10tn long-run displaced-spend framework only for option legs, not current revenue. The household evidence suggests a high ceiling: US households spent USD 13,318 annually on transportation in 2024, AAA estimated USD 11,577 to own and operate a new car in 2025, and US vehicle-and-parts consumption reached USD 587bn in Q4 2025 on the cited quarterly basis. None of this spending automatically becomes platform revenue. Consumers may keep private cars, public transit remains available, and lower autonomous prices reduce revenue per mile even if mileage rises.

WHAT TESLA MUST CAPTURE

The base success leg assumes Tesla captures 1.25% of the USD 10tn displaced-spend opportunity by 2032, generating USD 125bn of revenue. At a 40% EBITDA margin, this produces USD 50bn of EBITDA. A 15.0x multiple gives USD 750bn of undiscounted success value. The upside leg assumes 2.5% share, USD 250bn revenue and a 40% margin, producing USD 100bn EBITDA at 18.0x. These are success-state endpoints, not blended forecasts. Probabilities, rather than conservative assumptions within each leg, drive expected value.

A 1.25% revenue share can arise through several operating combinations. At USD 0.50 of platform revenue per paid mile, USD 125bn requires 250bn annual miles. At 60,000 paid miles per active vehicle, this requires about 4.2m vehicle-equivalents; at 100,000 miles, about 2.5m. Tesla has not disclosed mature fleet utilization, so these are the report's scenario assumptions. Either outcome is far beyond current fleets and requires industrial-scale manufacturing, charging, cleaning, remote assistance, insurance and local operations.

UNIT ECONOMICS

Industry estimates put scaled autonomous-fleet operating cost at USD 0.18–0.25 per mile, versus USD 0.75–0.84 for private-car ownership. ARK estimated a potential consumer price of USD 0.30–0.40 per mile by 2029. At a USD 0.40 price and USD 0.22 operating cost, vehicle-level contribution is USD 0.18 per mile before platform overhead, taxes and fleet financing. At 80,000 paid miles, that equals USD 14,400 annual contribution per vehicle. Low vehicle cost and high utilization are therefore essential.

SCALED UNSUPERVISED AUTONOMY AND ROBOTAXI PLATFORM FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

DISPLACED MOBILITY SPEND USED

\$10tn long-run TAM

BASE SUCCESS-LEG SHARE

1.25% by 2032

BASE SUCCESS-LEG REVENUE

\$125bn

BASE SUCCESS-LEG EBITDA MARGIN

40%

TEXAS INITIAL FLEET

42 Model Ys

NEVADA FLEET CAP

10 vehicles

CALIFORNIA STATUS

With-driver testing only

APPROVAL CASCADE

TX self-certified; CA not applied

08.1

Scaled unsupervised autonomy and robotaxi platform (continued)

Business division deep dive — Emerging option.

The modelled 40% EBITDA margin is demanding but arithmetically consistent with a vertically integrated network. At USD 0.50 revenue per mile and USD 0.25 direct operating cost, gross contribution is 50%. Allowing ten percentage points for technology, customer support, local operations and corporate costs leaves 40% EBITDA. If direct cost reaches USD 0.35, the same price leaves only a 30% gross contribution and cannot support the success leg. A five-cent cost change across 250bn miles changes annual contribution by USD 12.5bn.

CURRENT COMMERCIAL EVIDENCE

Tesla's robotaxi network reportedly reached nearly 2.5m cumulative paid miles by Q2 2026, including more than 380,000 unsupervised miles across six cities. Texas records showed an initial commercial deployment of 42 unsupervised Model Ys after Tesla self-certified SAE Level 4 compliance under Senate Bill 2807. Separate reports described unsupervised operations across seven US metros, including Miami, Orlando and Tampa. These reports show limited commercial activity but provide no independently audited revenue, utilization, remote-intervention frequency or city-by-city restrictions.

Cybercab entered production at Gigafactory Texas in Q2 2026, with installed annual capacity above 125,000 units. Steering-wheel-free vehicles were being tested on Austin roads by August. An Austin filing described a dedicated site with 80 wireless chargers. Manufacturing readiness appears ahead of broad regulatory permission. The US FMVSS exemption pathway for vehicles without traditional controls remains capped at 2,500 vehicles per manufacturer annually, and Tesla has not disclosed the status of its Cybercab exemption application.

COMPETITORS DEMONSTRATE DEMAND BUT RAISE THE EVIDENCE BAR

- Waymo operated 3,871 active robotaxis and delivered 500,000 paid rides per week across ten US metropolitan areas by June 2026. Annualized revenue was estimated at USD 355m earlier in 2026.
- Baidu Apollo Go delivered approximately 1m fully driverless rides in Q2 2026 and had exceeded 23m cumulative public rides.
- Pony.ai and Uber announced plans for more than 2,000 robotaxis across five European cities, beginning in Zagreb.
- Tesla reported 2.5m cumulative paid miles, but did not disclose comparable fleet size, weekly rides or annualized revenue.

The sources identify Baidu as the leader on a composite autonomy index and Waymo as the global fleet-size and US leader. These claims are compatible: Baidu may lead a composite technology or deployment measure, while Waymo leads fleet size and US paid activity. For valuation, Waymo is the more relevant benchmark for US permissions and utilization, while Baidu shows large-scale driverless ride execution in China. Tesla must close the disclosure gap as well as the technology gap.

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Business division deep dive — Emerging option.

SAFETY EVIDENCE

Tesla crossed 10bn cumulative FSD miles in May 2026, but most were supervised and cannot be treated as driverless miles. An Electrek analysis reported 14 Austin robotaxi crashes over 800,000 miles, or 17.5 crashes per million miles, approximately four times a cited urban human average. Definitions, reporting thresholds and fleet maturity can affect these comparisons. Still, the rate is adverse evidence and supports a low success probability until a larger, standardized dataset is available. NHTSA also required Tesla to submit information for a 58 -incident FSD investigation.

NHTSA's recall query RQ24009 remains active on the effectiveness of the December 2023 Autopilot remedy. Nevada requires crashes, security incidents and system failures to be reported within five working days. California can issue traffic -violation notices directly to autonomous -vehicle companies under regulations effective July 2026. These rules increase transparency, but they can also lead to operating restrictions if safety performance disappoints.

JURISDICTION-BY-JURISDICTION PERMISSION

Texas is the most positive jurisdiction. Tesla self -certified Level 4 status and deployed 42 unsupervised Model Ys under the state's framework. Self -certification does not mean a regulator independently validated safety, but it permits commercial learning and potential expansion if local operations remain compliant. Dallas and Houston restrictions, and remote -assistance practices, were not disclosed. The base probability therefore does not assume frictionless statewide scaling.

California is the clearest negative jurisdiction. As of 20 August 2026, the California DMV listed Tesla only for autonomous testing with a driver; Tesla lacked driverless testing and deployment permits. The CPUC said Tesla operated under a Charter -Party Carrier permit as a chauffeur service and had not applied to provide autonomous passenger service, paid or unpaid. California therefore contributes no approved public driverless scale to the base case despite its large technology and ride -hailing market.

Nevada granted an Autonomous Vehicle Network Company permit but capped the fleet at ten vehicles, limited speed to 45 mph and prohibited airport service. This allows operations, not economic scale. A ten -vehicle fleet cannot validate the multi -million -vehicle requirement derived above. The next measurable gate is a higher fleet cap, broader operating domains and compliant incident reporting.

SCALED UNSUPERVISED AUTONOMY AND ROBOTAXI PLATFORM FACT SHEET

EMERGING OPTION

REVENUE

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COMPARABLE EBIT

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DISPLACED MOBILITY SPEND USED

\$10tn long -run TAM

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1.25% by 2032

BASE SUCCESS-LEG REVENUE

\$125bn

BASE SUCCESS-LEG EBITDA MARGIN

40%

TEXAS INITIAL FLEET

42 Model Ys

NEVADA FLEET CAP

10 vehicles

CALIFORNIA STATUS

With -driver testing only

APPROVAL CASCADE

TX self -certified; CA not applied

08.1

Scaled unsupervised autonomy and robotaxi platform (continued)

Business division deep dive — Emerging option.

Florida reports are more positive but less independently detailed. News sources described fully unsupervised launches in Miami, Orlando and Tampa, but local restrictions, independent crash rates and remote-intervention data were unavailable. The valuation gives these operations probability credit, not established economic value. The jurisdiction sequence is therefore Texas limited-commercial, Florida reported-commercial with incomplete detail, Nevada capped, and California not authorized.

PROBABILITY AND VALUATION

The base success leg receives a 25% probability. Supporting evidence includes the 42-vehicle Texas deployment, 2.5m cumulative paid miles, Cybercab capacity and the 10bn-mile supervised data asset. Offsetting evidence includes California's with-driver-only permit, no CPUC application, Nevada's ten-vehicle cap, the Austin crash-rate report and active NHTSA investigations. The upside leg receives 10%, leaving 65% for failure to reach either modelled scale.

The 65% failure remainder is the largest assumption because the critical condition is broad permission combined with safe, low-intervention economics, not demand. Failure includes small fleets, supervised-software sales or geofenced services that never reach millions of high-utilization vehicle-equivalents. This remains plausible while California is unavailable and Tesla has not published standardized intervention, utilization or cost-per-mile data. The technology may work while the option remains worth far less than a global platform.

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Scaled unsupervised autonomy and robotaxi platform (continued)

Business division deep dive — Emerging option.

WHAT WOULD BREAK THE VALUATION

The option value would rise materially if Tesla secured California driverless testing and deployment permits, expanded Nevada beyond ten vehicles, disclosed thousands of paid vehicles and matched Waymo's safety performance on consistent definitions. Operating costs of USD 0.25 or less per mile, more than 60,000 paid miles per vehicle and limited remote intervention would support the 40% margin. Broad FMVSS clearance for steering-wheel-free Cybercab production would remove another bottleneck.

The option would approach zero if safety incidents lead to permit suspensions, Cybercab exemptions remain capped at 2,500 vehicles annually, or remote assistance and local operations prevent labor removal. It would also weaken if customers retain private vehicles and autonomous pricing proves too low to support fleet ownership. The key measures are paid rides, active driverless vehicles, intervention frequency, crash severity, cost per mile and jurisdictional fleet caps, not cumulative supervised miles alone.

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APPROVAL CASCADE

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ROBOTAXI COMMERCIAL SCALE AND REGULATORY POSITION

OPERATOR	COMMERCIAL SCALE	PERMISSION/STATUS	LATEST EVIDENCE
Tesla	42 TX vehicles	CA with-driver only	2.5m paid miles Q2'26
Waymo	500k rides/week	10 US metros	3,871 vehicles Jun-26
Baidu Apollo Go	1m rides Q2'26	China driverless	>23m cumulative rides
Pony.ai/Uber	>2,000 planned	Five Europe cities	Zagreb launch plan
Cruise	GM funding ceased	Dubai plan disputed	Strategy reset

08.2

Optimus humanoid robotics

Business division deep dive — Emerging option.

SIZE OF THE PRIZE

Humanoid robotics competes for labor spending in repetitive production, logistics and eventually services. ARK and Figure-related estimates put the long-run labor-displacement opportunity at USD 24tn, while another cited view reached USD 40tn. A nearer-term source estimated at least USD 1tn of annual accessible labor spend. These are economic ceilings, not current robot revenue. Published 2026 humanoid-market estimates are USD 6.24bn–10.9bn. Goldman Sachs forecast USD 38bn and 1.4m units by 2035, versus Barclays' USD 200bn estimate.

This report uses the USD 24tn labor-spend ceiling to construct success legs because the product substitutes for labor, but it assumes only a small Tesla share. The US had 23.726m workers in production and transportation/material-moving occupations in March 2025, while China's manufacturing sector employed more than 120m. These figures show the breadth of the market, but only some tasks will meet safety, dexterity, uptime and payback requirements. Humanoids compete task by task, not worker by worker.

REQUIRED CAPTURE

The base success leg assumes Tesla captures 0.10% of the USD 24tn opportunity by 2035, equal to USD 24bn of revenue. At a 25% EBITDA margin, EBITDA is USD 6bn. A 15.0x multiple gives USD 90bn of undiscounted success value. The upside leg assumes 0.25% share, USD 60bn revenue, a 30% margin and USD 18bn EBITDA valued at 20.0x. These are success endpoints and are probability-weighted rather than diluted by midpoint operating assumptions.

At an average selling price of USD 40,000, USD 24bn of revenue requires 600,000 units annually. At USD 25,000, it requires 960,000. Tesla's public target of one million units per year in 2027 is broadly the scale required for the base success leg. However, the timing is not considered credible without production and customer evidence. The upside leg requires 1.5m units at USD 40,000 or 2.4m at USD 25,000, plus recurring service or software revenue if hardware prices fall.

CUSTOMER ECONOMICS

An estimated three-shift US manufacturing team costs USD 435,000 annually, including labor, benefits, overtime, training, turnover and rework. The source estimated fully loaded human manufacturing labor at USD 46.30 per hour. Humanoid running-cost estimates range from USD 2 per hour to USD 3 per hour, but may exclude or understate acquisition, financing, maintenance, supervision and downtime. The report treats these figures as eventual technical operating-cost targets, not current Tesla economics.

OPTIMUS HUMANOID
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

LABOR-SPEND OPPORTUNITY

\$24tn long-run scenario

BASE SUCCESS-LEG SHARE

0.10% by 2035

BASE SUCCESS-LEG REVENUE

\$24bn

ESTIMATED CURRENT BUILD COST

\$50k–\$100k/unit

LOWEST NAMED RIVAL PRICE

\$16k Unitree G1

VERIFIED INTERNAL TASK SET

3 tasks

EU HIGH-RISK DEADLINE

2 Dec 2027

NEXT GATE

Third-party uptime and cycle data

08.2

Optimus humanoid robotics (continued)

Business division deep dive — Emerging option.

If a USD 40,000 robot delivers 6,000 productive hours annually for four years, straight-line acquisition cost is USD 1.67 per hour before maintenance and capital costs. Adding USD 3 of running cost, USD 2 of maintenance and USD 2 of supervision gives roughly USD 8.67 per productive hour. This can compete with USD 46.30 human cost only at high uptime and task productivity. At 50% productive utilization, effective cost roughly doubles. Uptime matters more than headline purchase price.

CURRENT CAPABILITY EVIDENCE

Tesla has demonstrated internal tasks including sorting 4680 battery cells, moving parts between stations and visual quality inspection. Optimus Gen 3 reportedly has 50 hand actuators and 22 degrees of freedom, improving dexterity. Payload estimates range from 20kg to 45kg. Tesla said existing units were mainly learning and data-collection tools, rather than productive factory labor. No verified external customer trial, task cycle time, mean time between failures or human-intervention rate was available.

Reports differ on internal scale. One source estimated approximately 1,000 units deployed across Fremont and Austin by early 2026, while Omdia estimated fewer than 500 units built or shipped during 2025. The periods and definitions of deployed and built differ. The report therefore uses fewer than 1,000 as the evidence range rather than selecting the higher claim. Tesla and several competitors were each estimated at only about 1% of 2025 global shipments, with approximately 150 units in the shipment comparison.

PRODUCTION READINESS

Tesla converted the former Fremont Model S/X line into an Optimus facility in a reported 46 days. Its Q2 2026 shareholder update targeted formal Gen 3 production for late July or August. Consumer sales were projected for the end of 2027, while longer-term Texas capacity ambitions reach 10m units annually. Factory conversion and start of production are relevant milestones, but installed capacity is not salable output. Yield, actuator supply, battery life, end-of-line testing and field service remain undisclosed.

Current build cost was estimated at USD 50,000–100,000 per unit. This exceeds Unitree G1's approximately USD 16,000 retail price and the assumed USD 40,000 base selling price. Cost must therefore fall materially before the base leg earns a hardware margin. At USD 60,000 cost and USD 40,000 price, every 100,000 units would lose USD 2bn before overhead. At USD 25,000 cost, the same volume would generate USD 1.5bn of gross profit. Cost and yield matter more than unit announcements.

OPTIMUS HUMANOID
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

LABOR-SPEND OPPORTUNITY

\$24tn long-run scenario

BASE SUCCESS-LEG SHARE

0.10% by 2035

BASE SUCCESS-LEG REVENUE

\$24bn

ESTIMATED CURRENT BUILD COST

\$50k–\$100k/unit

LOWEST NAMED RIVAL PRICE

\$16k Unitree G1

VERIFIED INTERNAL TASK SET

3 tasks

EU HIGH-RISK DEADLINE

2 Dec 2027

NEXT GATE

Third-party uptime and cycle data

08.2

Optimus humanoid robotics (continued)

Business division deep dive — Emerging option.

COMPETITIVE EVIDENCE

- Unitree led 2025 shipment estimates with 37.9% share and sells the G1 from approximately USD 16,000.
- AgiBot held an estimated 35.6% share, with 5,168 units sold in 2025.
- UBTech was separately identified as a revenue or broader - market leader with more than 14% share, reflecting a different market definition.
- Figure robots supported production of more than 30,000 BMW X3 vehicles during a ten-month pilot, and another report recorded over 200 autonomous sorting hours.
- Agility Robotics reported more than USD 300m of Digit v5 orders and a USD 2.5bn transaction valuation.

The Unitree and UBTech leadership claims reflect different metrics. Unitree appears to lead the cited shipment series, while UBTech leads a differently defined market estimate. Shipment leadership is more relevant for physical scale, while contracted orders and verified customer hours better measure commercial utility. Tesla has manufacturing resources and an internal proving ground, but Figure and Agility currently offer stronger named third-party evidence. The valuation probability reflects this gap.

SAFETY AND REGULATION

The EU AI Act classifies autonomous robotic systems as high risk, with conformity deadlines for stand-alone systems on 2 December 2027. Formal collaborative-workplace safety certifications for Optimus were not available. A humanoid working near people must manage pinch, impact, battery, cybersecurity and unintended-motion risks while maintaining predictable emergency-stop behavior. These approval requirements can delay external deployment after internal production begins.

Regulation is less fragmented than robotaxi permitting but remains material. Industrial customers can start with fenced or separated workflows, reducing risk and adding tasks as evidence builds. Consumer deployment is harder because homes are unstructured and include children, pets and fragile objects. The report assigns no near-term consumer economics and requires industrial reliability first.

PROBABILITY AND VALUATION

The base leg receives a 20% probability and the upside leg 5%, leaving 75% for failure to reach either modelled scale. Evidence supporting success includes factory conversion, targeted Gen 3 production, three demonstrated tasks, Tesla's manufacturing base and a large internal training environment. Evidence limiting probability includes the USD 50,000–100,000 current cost estimate, no verified external trial, no published uptime or intervention rate, and stronger third-party pilots from Figure and Agility.

OPTIMUS HUMANOID
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

LABOR-SPEND OPPORTUNITY

\$24tn long-run scenario

BASE SUCCESS-LEG SHARE

0.10% by 2035

BASE SUCCESS-LEG REVENUE

\$24bn

ESTIMATED CURRENT BUILD COST

\$50k–\$100k/unit

LOWEST NAMED RIVAL PRICE

\$16k Unitree G1

VERIFIED INTERNAL TASK SET

3 tasks

EU HIGH-RISK DEADLINE

2 Dec 2027

NEXT GATE

Third-party uptime and cycle data

08.2

Optimus humanoid robotics (continued)

Business division deep dive — Emerging option.

The 75% failure remainder does not mean Optimus produces no robots. It means the product fails to reach at least USD 24bn of revenue and a 25% EBITDA margin by 2035. A technically capable but low-uptime robot, a product limited to a few internal tasks, or a system requiring frequent human teleoperation would all fall into that outcome. Demonstration success can coexist with low enterprise value.

WHAT WOULD CHANGE THE OPTION

The probability would rise if Tesla disclosed thousands of units performing customer-valued tasks, more than 90% scheduled uptime, competitive cycle times and build costs below USD 40,000. Named external contracts, safety certification and service infrastructure matter more than choreographed demonstrations. A production ramp with gross-margin evidence would support the base leg. A million-unit claim without cost, yield and customer deployment would not.

The option would fall sharply if 2027 external sales slip, build cost remains above selling price, or competitor pilots show better reliability at lower prices. It would also weaken if task-specific automation captures the economic work without requiring a general humanoid form. The best investment measure is productive hours per robot per month at a disclosed intervention rate, followed by customer payback, not walking ability or factory-line capacity alone.

OPTIMUS HUMANOID ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

COMPARABLE EBIT

Not separately reported

LABOR-SPEND OPPORTUNITY

\$24tn long-run scenario

BASE SUCCESS-LEG SHARE

0.10% by 2035

BASE SUCCESS-LEG REVENUE

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LOWEST NAMED RIVAL PRICE

\$16k Unitree G1

VERIFIED INTERNAL TASK SET

3 tasks

EU HIGH-RISK DEADLINE

2 Dec 2027

NEXT GATE

Third-party uptime and cycle data

HUMANOID ROBOTICS COMMERCIALIZATION EVIDENCE

COMPANY	COMMERCIAL EVIDENCE	PRICE/COST	2025/26 POSITION
Tesla Optimus	3 internal tasks	Est. \$50k-\$100k cost	<1,000 units evidenced
Unitree	Shipment leader	G1 from ~\$16k	37.9% est. share 2025
AgiBot	5,168 units sold	Not provided	35.6% est. share 2025
Figure AI	BMW 10-month pilot	Not provided	30k X3s supported
Agility Robotics	>\$300m orders	Not provided	\$2.5bn transaction

08.3

Automotive hardware and leasing

Business division deep dive — Profit engine.

SIZE OF THE PRIZE

Automotive hardware competes for spending on vehicle purchases and leases, not only a narrow EV category. Future Market Insights estimated the 2026 global car market at USD 2,789.2bn, while the IEA forecast 23m electric-car sales in 2026, nearly 30% of global vehicle sales. The broader spending pool matters because electrification changes the powertrain, not the customer's vehicle budget. Published 2026 estimates range from USD 147.57bn for vehicle leasing to USD 171.26bn for automobile rental and leasing. This report uses vehicle sales to frame hardware and treats leasing as a financing and residual-value overlay, rather than adding both markets mechanically.

The opportunity is also visible in displaced household spending. US vehicle ownership represented an estimated 17% of annual household expenses in 2026, and AAA estimated the annual cost of owning and operating a new car at USD 11,577 in 2025. This division captures only the purchase or lease component. Charging, insurance, service and software are valued elsewhere. This prevents an automotive multiple being applied to recurring software and service revenue. The division addresses trillions of dollars of spending, but its value depends on manufacturing margin per vehicle, not the size of the car market.

FROM MARKET SIZE TO TESLA'S REQUIRED CAPTURE

The intrinsic hardware valuation assumes Tesla remains a major global EV manufacturer without regaining its former global leadership. Statista reported 2025 Tesla BEV sales of 1.64m, down nearly 10%, versus BYD's 2.26m. An alternative industry series put Tesla at 1.79m, but both sources agree that BYD was larger. The report gives greater weight to 1.64m because it is consistent across the Statista comparison used for both companies, while recognizing definitional uncertainty. Against the IEA's 23m 2026 electric-car market, roughly 1.8m–2.0m annual deliveries would equal approximately 8%–9% of global EV units. That sustains scale but not software-like economics.

At the current control enterprise value, investors are not paying only for that unit share. Tesla's FY2025 revenue was USD 94.827bn, versus market enterprise value of USD 1,277.246bn. Even with substantial value assigned to software, energy and options, hardware must remain profitable and strategically useful because it supplies the installed base for FSD, service, charging and potentially robotaxi fleets. The base valuation assumes USD 6.0bn of sustainable hardware EBITDA at 10.0x, for USD 60.0bn of intrinsic EV. This is above conventional automaker valuations but recognizes direct distribution, the charging ecosystem and fleet-deployment value without double-counting autonomy.

AUTOMOTIVE HARDWARE AND LEASING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 68,026m

COMPARABLE EBIT
Not separately reported

FY2025 MODELED DIVISION SALES
\$68.0bn

FY2025 VEHICLE SALES BEFORE CARVE-OUTS
\$65.8bn

FY2025 LEASING REVENUE
\$1.712bn

Q2 2026 DELIVERIES
480,126

Q2 2026 REVENUE PER DELIVERY
<\$43,000

Q2 2026 EX-CREDIT GROSS MARGIN RANGE
14.6%–16.3%

INTRINSIC VALUATION BASIS
\$6.0bn EBITDA × 10.0x

2025 GLOBAL BEV SALES POSITION
Tesla 1.64m; BYD 2.26m

08.3

Automotive hardware and leasing (continued)

Business division deep dive — Profit engine.

WHAT THE REPORTED REVENUE POOL CONTAINS

Tesla reported USD 69.526bn of total automotive revenue in FY2025, equal to the verified 73.3% reported-segment share. This reported segment differs from the business division because it includes vehicle hardware, leasing, regulatory credits and FSD revenue. The report therefore separates the division. Automotive sales excluding leasing and credits were USD 65.821bn, leasing was USD 1.712bn, and regulatory credits were USD 1.993bn. FSD revenue is assigned to supervised software. Regulatory credits remain in hardware economics because they arise from vehicle production, but receive no premium multiple.

The USD 68.026bn division-revenue estimate is not company-reported. It is derived from the automotive pool after removing the report's USD 1.5bn FSD estimate, leaving vehicle sales, leasing and credits in hardware. The figure reconciles exactly with the modelled division structure and does not create revenue outside the verified USD 94.827bn group total. FY2025 leasing revenue fell 6.29% to USD 1.712bn, and Q1 2026 leasing revenue was USD 381m. Leasing matters economically but is too small to alter the division's return profile, especially as Tesla does not disclose its financed fleet, residual-value performance or leasing margin.

VOLUMES ARE IMPROVING, BUT PRICE IS DECISIVE

Tesla produced 451,758 vehicles and delivered 480,126 in Q2 2026. Deliveries exceeded production by 28,368, reducing inventory pressure and showing that demand can respond to product, financing or pricing actions. However, Statista put average automotive revenue per delivery below USD 43,000 in Q2 2026, down from more than USD 50,000 in 2021. At 480,126 quarterly deliveries, each USD 1,000 change in realized revenue per delivery changes quarterly automotive revenue by roughly USD 480m before mix and lease-accounting effects. Cost reductions must therefore exceed price pressure.

The competitive picture varies by region. Cox Automotive reported Tesla at 55% of US EV sales in July 2026, well ahead of Chevrolet's 6% Q2 share. In China, Tesla's July NEV retail share fell to 2.87%, while BYD held 23.5%. Europe is also highly competitive: Volkswagen Group held 27% of the overall European car market in 2025. Tesla has a strong US franchise but cannot extrapolate that position globally. The base case assumes continued intense regional price competition.

AUTOMOTIVE HARDWARE AND LEASING FACT SHEET

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USD 68,026m

COMPARABLE EBIT

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2025 GLOBAL BEV SALES POSITION
Tesla 1.64m; BYD 2.26m

08.3

Automotive hardware and leasing (continued)

Business division deep dive — Profit engine.

PRODUCT AND CAPACITY CHOICES REDUCE RISK BUT LIMIT OPPORTUNITY

Tesla ended Model S and Model X production in May 2026 and converted the Fremont line for Optimus. This removes low-volume premium models and concentrates the passenger portfolio around Model 3, Model Y and Cybertruck. Concentration can improve purchasing, factory complexity and working-capital efficiency. It also increases reliance on aging high-volume nameplates and raises the cost of a weak refresh cycle. With no confirmed Model 2 timing, the valuation does not assume an unannounced low-price model restores volume.

Commercial vehicles offer a separate source of growth. Tesla began volume production of Semi on a high-volume Nevada line in April 2026, and Einride reportedly ordered 500 trucks in August. These facts show production and customer interest, but not annual volume, realized price, warranty cost or margin. The base hardware EBITDA includes only a modest Semi contribution because one order does not prove fleet economics. Giga Shanghai's reported capacity of 950,000 vehicles annually remains important, but utilization for Shanghai, Berlin and Texas was not available and is not assumed.

MARGIN EVIDENCE AND THE CONFLICT IN REPORTED ANALYSIS

Two sources differ on Q2 2026 automotive gross margin excluding regulatory credits. Deep Research Global reported 14.6%, down from 16.3% in Q1. MLQ.ai and 36Kr cited 16.3% under alternative treatments excluding or normalizing one-time benefits. The report uses 14.6% as the conservative operating anchor and 16.3% as the upper end of the plausible range. The difference likely reflects classification and normalization choices. Neither figure is presented as a separately audited division margin.

At USD 68.026bn of modelled FY2025 revenue, a two-percentage-point gross-margin change equals approximately USD 1.36bn before operating-cost effects. The USD 6.0bn normalized EBITDA assumption implies an 8.8% division EBITDA margin. This is below Tesla's group 2026 forecast EBITDA margin of 15.7% because software and energy can have better economics. It still requires hardware cost reductions, credits and leasing earnings to cover substantial R&D and selling infrastructure. At the 14.6% gross-margin anchor, the division cannot absorb persistent price cuts and factory underutilization.

AUTOMOTIVE HARDWARE AND LEASING FACT SHEET

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2025 GLOBAL BEV SALES POSITION
Tesla 1.64m; BYD 2.26m

08.3

Automotive hardware and leasing (continued)

Business division deep dive — Profit engine.

COMPETITIVE COMPARISON

- Tesla: 1.64m BEVs sold in 2025 in the consistently defined Statista series; Q2 2026 deliveries were 480,126.
- BYD: 2.26m BEVs sold in 2025 and approximately 557,090 in Q2 2026, showing greater global unit scale.
- Volkswagen Group: 27% of the overall European car market in 2025, supported by multiple brands and broad distribution.
- Chevrolet: 6% of US EV sales in Q2 2026 versus Tesla's leading US position.
- Ayvens and Arval: leasing fleets of approximately 3.1m and 1.9m vehicles respectively, far larger than any disclosed Tesla leasing fleet.

The comparison shows why Tesla merits neither a pure legacy -auto multiple nor an unrestricted technology multiple. BYD is the key volume benchmark. Volkswagen shows the manufacturing and distribution scale required in Europe, while Chevrolet demonstrates Tesla's wide US lead. Specialist lessors show that Tesla leasing is not independently scaled. Hardware also has capital intensity that software lacks. The followed model forecasts group capex of USD 19.354bn in 2026 and USD 21.690bn in 2027, limiting the cash value of accounting earnings during this investment phase.

VALUATION, ASSUMPTION AND BREAK POINT

The division is valued at USD 60.0bn of intrinsic EV, using USD 6.0bn of normalized EBITDA and a 10.0x multiple. The multiple is close to Toyota's 2026 11.8x EV/EBITDA and above GM's 6.0x and Volkswagen's 4.9x, reflecting Tesla's direct model, EV scale and ecosystem. It remains below the group's 101.83x normalized historical EV/EBITDA average because that premium includes options valued separately here. An 8.0x multiple would reduce division EV by USD 12bn, while 12.0x would add USD 12bn.

AUTOMOTIVE HARDWARE AND LEASING FACT SHEET

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Q2 2026 EX-CREDIT GROSS MARGIN RANGE
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INTRINSIC VALUATION BASIS
\$6.0bn EBITDA × 10.0x

2025 GLOBAL BEV SALES POSITION
Tesla 1.64m; BYD 2.26m

08.3

Automotive hardware and leasing (continued)

Business division deep dive — Profit engine.

Value depends on manufacturing-cost reductions at least matching realized-price pressure, annual deliveries staying near or above the 2025 scale, and core factories avoiding prolonged underutilization. The case breaks if average revenue per delivery keeps falling while ex-credit gross margin remains near 14.6%, or if China and Europe share losses require sustained incentives. A stable 18%–20% ex-credit automotive gross margin, rising revenue per delivery and profitable Semi scaling would support EBITDA above USD 6.0bn. The key monitor is gross profit per delivery: unit growth can still destroy economic value.

AUTOMOTIVE HARDWARE AND LEASING FACT SHEET

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\$6.0bn EBITDA × 10.0x

2025 GLOBAL BEV SALES POSITION
Tesla 1.64m; BYD 2.26m

VEHICLE AND LEASING COMPETITIVE POSITION

COMPANY/OPERATOR	SCALE/SHARE	LATEST ECONOMICS	STRATEGIC POSITION
Tesla	1.64m BEVs (2025)	<\$43k rev/delivery Q2'26	55% US EV share Jul-26
BYD	2.26m BEVs (2025)	557,090 BEVs Q2'26	23.5% China NEV Jul-26
Volkswagen Group	27% Europe cars (2025)	4.9x EV/EBITDA 2026E	Multi-brand distribution
Chevrolet/GM	6% US EV share Q2'26	6.0x EV/EBITDA 2026E	US scale challenger
Ayvens	3.1m lease fleet (2026)	\$147.6bn lease market	Global leasing leader

08.4

Supervised driver - assistance software

Business division deep dive — Profit engine.

SIZE OF THE PRIZE

Supervised driver - assistance software competes first for what drivers will pay for convenience and safety, not for the full transport budget a driverless service could replace. Published market definitions differ by more than an order of magnitude. Global Market Insights estimated the 2026 autonomous - driving software market at USD 3bn, while Market Research Future estimated autonomous - car software at USD 33.18bn in 2025. Broader definitions are larger: Global Market Insights put the 2025 self - driving - car market, including hardware and supervised ADAS, at USD 202.4bn, versus Custom Market Insights' USD 36.5bn ADAS estimate. This report uses the software opportunity, not the mobility spending reserved for the unsupervised robotaxi option.

This difference defines what can be valued today. A supervised system still needs a human driver, so it does not replace driver labor, private - car ownership or the USD 13,318 annual US household transportation expenditure reported by the Bureau of Labor Statistics for 2024. Its revenue pool is the price customers pay for software functions and subscriptions. The valuation therefore starts with users multiplied by annual revenue per user, using deferred - revenue recognition as a cross - check. It does not include hypothetical autonomous ride revenue in supervised software.

TESLA'S REQUIRED CAPTURE

Tesla reported 1.48m active FSD Supervised users at Q2 2026, up 56% year over year. More than 55% of new North American deliveries included an FSD subscription at purchase. This is a strong flow indicator but may exceed the attach rate across the global installed fleet. At an estimated USD 65m monthly subscription run - rate in July, annualized subscription revenue would be USD 780m. Dividing this by 1.48m active users implies approximately USD 527 per active user per year, or USD 44 per month. This suggests the global user figure includes trials, bundled access, regional pricing or non - paying active users.

The report therefore does not apply headline list pricing to all users. The USD 1.5bn FY2025 division - revenue estimate combines USD 956m of disclosed deferred FSD revenue recognized during the year with an assumed USD 544m of current - period subscriptions and software purchases not separately reported. This is a modelled estimate, not reported revenue, and remains within the range implied by the July 2026 run - rate. Exact FY2025 cash sales and subscriber mix are unavailable. The estimate is bounded by recognized deferred revenue at the low end and the later subscription run - rate at the high end.

SUPERVISED DRIVER - ASSISTANCE SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,500m

COMPARABLE EBIT
Not separately reported

Q2 2026 ACTIVE FSD USERS
1.48m

USER GROWTH
56% YoY

NORTH AMERICA NEW - DELIVERY ATTACH
>55%

ESTIMATED JULY SUBSCRIPTION RUN - RATE
\$65m/month

FY2025 DEFERRED FSD RECOGNIZED
\$956m

AUTOMOTIVE DEFERRED - REVENUE BALANCE
\$3.867bn

CUMULATIVE SUPERVISED MILES
10bn by May - 26

INTRINSIC VALUATION BASIS
\$2.5bn EBITDA × 20.0x

08.4

Supervised driver - assistance software (continued)

Business division deep dive — Profit engine.

REVENUE ARCHITECTURE AND ECONOMIC LEVERAGE

Tesla's automotive deferred -revenue balance was USD 3.867bn at December 2025 and included FSD features and internet connectivity. The balance is not entirely FSD and cannot be treated as future FSD revenue without adjustment. It nevertheless shows that cash receipts can precede full feature recognition, creating a revenue tail as functionality is delivered. The disclosed USD 956m recognized from deferred FSD revenue in FY2025 equals about 64% of the report's modelled division revenue. Recognition policy and feature delivery therefore matter to annual growth.

The high-margin case relies on software being reused across an installed fleet whose hardware costs sit largely in automotive. Tesla does not disclose FSD-only gross margin, and the report does not claim a reported margin. The bridge assumes USD 2.5bn of sustainable EBITDA at revenue above the FY2025 estimate. Paid users, revenue per paying user and recognition of the deferred balance must therefore expand. A 70%–80% incremental margin is a plausible model assumption for software delivered to compatible vehicles, but customer incentives, compute, data labeling, support, regulatory localization and included hardware rule out a 100% margin.

PRODUCT EVIDENCE AND THE DATA ADVANTAGE

Cumulative FSD Supervised mileage reached 8.4bn miles by February 2026 and passed 10bn by May. This data accumulation matters because rare driving events require exposure to many edge cases. Tesla's consumer fleet can collect geographically diverse examples without an equivalent dedicated test fleet. However, cumulative miles are an input, not a safety outcome. They do not show miles between safety-critical interventions, crash severity, cross-country transferability or performance in an unsupervised operating domain.

A November 2025 third-party test series reported an average 1,454 miles between critical disengagements for FSD v14. The source was a Reddit-linked real-world dataset, rather than a regulator or standardized audit, so it is treated as directional. The supervised product can create customer value before it reaches driverless reliability. This distinction protects current software revenue from an all-or-nothing autonomy case while preventing supervised miles from being presented as proof of unsupervised readiness.

SUPERVISED DRIVER-
ASSISTANCE SOFTWARE FACT
SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,500m

COMPARABLE EBIT
Not separately reported

Q2 2026 ACTIVE FSD USERS
1.48m

USER GROWTH
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NORTH AMERICA NEW-DELIVERY
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10bn by May-26

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\$2.5bn EBITDA × 20.0x

08.4

Supervised driver - assistance software (continued)

Business division deep dive — Profit engine.

GEOGRAPHIC AUTHORIZATION

Tesla said at CVPR 2026 that FSD Supervised was approved or available in ten countries: the United States, Canada, Mexico, China, South Korea, Australia, New Zealand, the Netherlands, Lithuania and Estonia. Another June source counted eleven jurisdictions by including Denmark, showing the difference between country availability, partial authorization and mutual recognition. Netherlands approval in August 2026 was described as the first such European Union approval. Denmark, Belgium, Lithuania and Estonia had recognized Dutch type approval through EU mechanisms. The report uses Tesla's ten-country count and treats the wider European rollout as developing, not fully equivalent deployment.

- Approved or available: US, Canada, Mexico, South Korea, Australia and New Zealand, with China described as partial in the source set.
- European foothold: Netherlands approval in August 2026; Lithuania and Estonia included in Tesla's June availability list.
- Recognition path: Denmark and Belgium reportedly recognized the Dutch approval framework, but exact commercial feature availability and local restrictions were not disclosed.
- Next gate: sustained European availability with disclosed paid-user conversion, not approval headlines alone.

Regulation matters differently for supervised software than for robotaxi. Supervised approval can expand software revenue while the driver remains legally responsible, making it less demanding than commercial driverless authorization. Tesla can therefore monetize localization work even if robotaxi approval takes years. It also faces regional pricing and liability complexity. Value depends on paid attachment after initial trials, not the number of countries shown on an availability map.

COMPETITION AND PRICING

Mobileye shipped 10m EyeQ systems in H1 2026 and reported a USD 50.8 average system price in Q4 2025. Its more advanced SuperVision package was estimated at USD 150–200 per unit. This remains well below recurring consumer FSD revenue because Mobileye mainly sells components and integrated systems to automakers. Huawei had installed Qiankun ADS in 1.4m vehicles by the end of 2025 and raised the subsidized buyout price to CNY 15,000 in July 2026. XPeng reported 85% penetration for XNGP urban smart driving among active users in June 2025, showing that high feature usage need not require a separately priced Tesla-style subscription.

SUPERVISED DRIVER- ASSISTANCE SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,500m

COMPARABLE EBIT
Not separately reported

Q2 2026 ACTIVE FSD USERS
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CUMULATIVE SUPERVISED MILES
10bn by May-26

INTRINSIC VALUATION BASIS
\$2.5bn EBITDA × 20.0x

08.4

Supervised driver - assistance software (continued)

Business division deep dive — Profit engine.

These competitors define Tesla's monetization challenge. Tesla seeks more revenue per equipped vehicle than a component supplier, which requires consumers to see sustained differentiated utility and improvement. Huawei shows a premium buyout alternative, while XPeng shows how bundling can compete. The installed base can grow while pricing falls if advanced assistance becomes standard equipment. The report therefore assumes recurring revenue per active user below headline annual subscription pricing and tests value against attach rate rather than total compatible vehicles.

WHY THE ATTACH RATE IS DECISIVE

A 55% new - delivery attach rate in North America is encouraging but cannot be applied globally. If Tesla delivers 2m vehicles annually and sustains a 30% global paid attach rate, it adds 600,000 users per year before churn. At USD 600 annual revenue per paying user, that cohort generates USD 360m of annualized revenue. At 50% attachment, it generates USD 600m. The USD 240m difference could be worth several billion dollars under a software multiple. Paid global attachment matters more than one quarter's deliveries.

The installed fleet provides a second upgrade channel, but older vehicles may need hardware changes and customers who declined the feature at purchase may be less willing to pay later. A subscription - only model lowers the upfront barrier but can increase churn. The base case assumes active users keep growing while paid users remain below total active users, consistent with the USD 527 implied annual run - rate per active user. If all 1.48m users paid a materially higher subscription price, reported revenue would be visibly above the available run - rate estimate.

VALUATION, ASSUMPTION AND BREAK POINT

The division is valued at USD 50.0bn of intrinsic EV, using USD 2.5bn of normalized EBITDA at 20.0x. The multiple is below valuations requiring durable 20%–30% growth, but above Alphabet's 17.4x and Uber's 14.0x 2026 EV/EBITDA because the revenue can scale across Tesla's installed fleet. This is not current reported EBITDA. It is a modelled sustainable contribution after further user growth. A 16.0x multiple would reduce EV by USD 10bn, while 24.0x would add USD 10bn.

SUPERVISED DRIVER - ASSISTANCE SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,500m

COMPARABLE EBIT
Not separately reported

Q2 2026 ACTIVE FSD USERS
1.48m

USER GROWTH
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10bn by May - 26

INTRINSIC VALUATION BASIS
\$2.5bn EBITDA × 20.0x

08.4

Supervised driver - assistance software (continued)

Business division deep dive — Profit engine.

The case assumes active users convert to recurring paying users at a sustainable global attach rate, with annual revenue per paying user sufficient to cover localization and compute costs. It breaks if attachment is trial-driven, competitors bundle comparable systems, or regulators restrict functions after safety events. It strengthens if Tesla reports subscription revenue at or above the USD 780m annualized July run-rate, maintains more than 50% North American paid attachment and expands European paid availability. The most useful quarterly disclosures are paying subscribers, churn and recognized software revenue. Until then, valuation should remain bounded rather than extrapolated from active users alone.

SUPERVISED DRIVER-
ASSISTANCE SOFTWARE FACT
SHEET

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MODEL ESTIMATE REVENUE
USD 1,500m

COMPARABLE EBIT
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SUPERVISED DRIVING SOFTWARE SCALE AND MONETIZATION

PROVIDER	INSTALLED USERS/UNITS	PRICE/ECONOMICS	LATEST POSITION
Tesla FSD Supervised	1.48m active Q2'26	Est. \$65m/month Jul-26	>55% NA attach Q2'26
Mobileye	10m EyeQ H1'26	\$50.8 ASP Q4'25	Broad OEM supplier
Huawei Qiankun	1.4m vehicles (2025)	CNY15k buyout Jul-26	China premium ADS
XPeng XNGP	85% active penetration	Often vehicle-bundled	China urban-driving rival
Volkswagen-led market	>12.7% est. share 2025	OEM-integrated	Volume-led benchmark

08.5

Energy storage

Business division deep dive — Profit engine.

SIZE OF THE PRIZE

Energy storage competes for spending on grid capacity, peak generation, balancing, resilience and behind-the-meter backup, not only for a labelled battery-system market. A complete dollar estimate for displaced gas-peaker spending was unavailable, so the report uses deployment as its anchor. BloombergNEF reported 112 GW of non-pumped-hydro storage additions in 2025, up 48%, and forecast 158 GW in 2026. Storage was also reported to have fallen below gas-peaker costs in some applications by mid-2026, expanding its role from renewable integration to capacity substitution.

The physical market is expanding faster than most Tesla businesses, but value per unit is declining. BloombergNEF put 2025 turnkey stationary-storage cost at approximately USD 117/kWh. It would be wrong to multiply this by 112 GW because GW measures power and GWh measures energy; a duration assumption is required. A four-hour system contains four times the energy of a one-hour system. The valuation therefore uses Tesla's disclosed GWh deployments and revenue pool instead of constructing a global dollar TAM from incompatible units. The key question is whether deployment growth can exceed price declines.

REQUIRED SHARE AND DIVISION REVENUE

Tesla deployed 46.7 GWh in FY2025, up 49%, and Benchmark Mineral Intelligence ranked it second among global BESS integrators with approximately 10% share. BYD shipped more than 60 GWh and held 13%, while Sungrow held 9%. Tesla is scaled but not dominant. Chinese integrators held eight of the top ten positions and 76% share, according to Wood Mackenzie. The base case assumes Tesla retains a high-single-digit to low-double-digit global integration share rather than restoring clear leadership.

Tesla reported USD 12.771bn of FY2025 energy generation and storage revenue, including USD 12.270bn of sales and USD 501m of leasing. Storage revenue is not separately disclosed. The report models USD 12.0bn for storage and USD 771m for solar, based on deployment growth, the segment's strategic focus and the lack of solar deployment disclosure after 2023. This split is an estimate, not Tesla guidance. It reconciles exactly to the verified segment pool and avoids assigning all energy revenue to storage.

ENERGY STORAGE FACT SHEET

PROFIT ENGINE
MODEL ESTIMATE REVENUE
USD 12,000m
COMPARABLE EBIT
Not separately reported
FY2025 STORAGE DEPLOYMENTS
46.7 GWh
Q2 2026 STORAGE DEPLOYMENTS
13.5 GWh
Q2 2026 SEGMENT REVENUE
\$3.14bn
Q2 2026 ENERGY GROSS MARGIN
20.4%
Q1 2026 ENERGY GROSS MARGIN
39.5%
GLOBAL TURNKEY COST BENCHMARK
\$117/kWh (2025)
INSTALLED/PLANNED FACTORY CAPACITY
80 GWh + 50 GWh planned
INTRINSIC VALUATION BASIS
\$4.0bn EBITDA × 12.5x

08.5

Energy storage (continued)

Business division deep dive — Profit engine.

DEPLOYMENT AND IMPLIED REVENUE PER GWH

Dividing modelled FY2025 storage revenue of USD 12.0bn by 46.7 GWh gives approximately USD 257m per deployed GWh, or USD 257/kWh of revenue. This exceeds the USD 117/kWh global turnkey cost benchmark because Tesla revenue may include integration, power electronics, software, installation, service and product mix. The benchmark measures system-level cost, not seller revenue. The difference is not gross profit. It shows that project scope and the Powerwall versus Megapack mix can materially change implied revenue per GWh.

Q2 2026 deployments reached 13.5 GWh, up 53% sequentially, while energy generation and storage revenue was USD 3.14bn, up 13% year over year. Dividing all quarterly segment revenue by storage deployments gives about USD 233/kWh, but includes solar and leasing and is therefore only an upper-bound measure. More importantly, deployment growth exceeded revenue growth. This is consistent with lower value per GWh, changing mix or revenue-recognition timing. Gross profit per GWh, not deployment alone, drives valuation.

MARGIN QUALITY AND THE WARRANTY CHARGE

Energy gross margin fell to 20.4% in Q2 2026 from 39.5% in Q1. Tesla attributed part of the decline to a USD 240m warranty charge related to vendor cell issues. Adding back this charge would improve normalized economics, but would not show that Q1 margin is sustainable because mix and project timing also matter. The report uses 20.4% as the observed downside margin and the high-20s as a normalized planning range, rather than carrying forward 39.5%.

At USD 3.14bn of quarterly segment revenue, the 19.1-percentage-point fall from Q1 to Q2 represents roughly USD 600m of gross profit, although revenue and mix changes make this directional. The USD 240m warranty charge explains about 7.6 percentage points of Q2 revenue. Even after adjustment, a substantial gap remains versus the prior quarter. This supports a 12.5x EBITDA multiple, rather than a premium software multiple, despite strong growth.

CAPACITY SUPPORTS GROWTH BUT CREATES UTILIZATION RISK

Tesla's Lathrop Megafactory reportedly has 40 GWh of annual capacity, and Shanghai adds another 40 GWh. A planned Houston/Brookshire facility targets 50 GWh once ramped, with Megapack 3 production starting in late 2026. Existing 80 GWh of capacity compares with 46.7 GWh deployed in 2025, implying approximately 58% deployment-to-nameplate capacity if both factories had been available and fully ramped throughout the year. They were not necessarily at steady state. This is a report-derived guide, not a reported utilization rate.

ENERGY STORAGE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 12,000m

COMPARABLE EBIT
Not separately reported

FY2025 STORAGE DEPLOYMENTS
46.7 GWh

Q2 2026 STORAGE DEPLOYMENTS
13.5 GWh

Q2 2026 SEGMENT REVENUE
\$3.14bn

Q2 2026 ENERGY GROSS MARGIN
20.4%

Q1 2026 ENERGY GROSS MARGIN
39.5%

GLOBAL TURNKEY COST BENCHMARK
\$117/kWh (2025)

INSTALLED/PLANNED FACTORY
CAPACITY
80 GWh + 50 GWh planned

INTRINSIC VALUATION BASIS
\$4.0bn EBITDA × 12.5x

08.5

Energy storage (continued)

Business division deep dive — Profit engine.

If 130 GWh of nominal capacity becomes available and deployments reach 90 GWh, utilization would be about 69%. At USD 200/kWh of revenue, that volume would imply USD 18bn of revenue; at USD 150/kWh, it would imply USD 13.5bn. The USD 4.5bn difference shows the sensitivity to price. Capacity creates value only if backlog, cell supply and installation execution keep factories full without sacrificing price or warranty quality.

COMPETITION BY SEGMENT

- Utility-scale integration: BYD shipped more than 60 GWh in 2025 and held 13% share, Tesla deployed 46.7 GWh and held 10%, and Sungrow held 9%.
- Global supply structure: Chinese integrators held eight of the top ten positions and 76% of the 2025 market, increasing price competition.
- US residential storage: estimates differ, with Powerwall 3 at approximately 35% by mid-2025 and 63% in Q1 2026.
- Regional challenge: Sigenergy reached 25% in Australia in early 2026, while Huawei benefited from a 35% solar-inverter position in Ireland.

The Powerwall share estimates should be treated as a range. Mordor Intelligence's 35% estimate referred to mid-2025, while Clean Energy Reviews' 63% referred to early 2026 and may reflect a different channel or product scope. A real share gain is possible, but the evidence does not show Tesla controlled 63% of all US residential storage. The valuation assumes strong US residential positioning without extending it globally, where inverter channels and local installers can favor Huawei, Sungrow or Sigenergy.

UNIT ECONOMICS

The base intrinsic valuation assumes USD 4.0bn of normalized EBITDA. Against USD 12.0bn of modelled FY2025 storage revenue, this implies a 33% margin and is not a current-year forecast. It requires revenue growth toward approximately USD 18bn–20bn, gross margin in the high-20s or better, warranty normalization and operating leverage from dedicated factories. At USD 18bn of revenue and a 22% EBITDA margin, EBITDA would be about USD 4.0bn. These assumptions are demanding but achievable if deployments grow while revenue per GWh declines gradually rather than collapsing.

A downside case assumes 70 GWh at USD 150/kWh, producing USD 10.5bn of revenue, a 15% EBITDA margin and USD 1.6bn of EBITDA. An upside case assumes 100 GWh at USD 220/kWh, producing USD 22bn of revenue, a 24% margin and USD 5.3bn of EBITDA. The base lies between these outcomes. This range matters because combining current deployment growth with past pricing would overstate value, while using falling battery costs without integration revenue would understate it.

ENERGY STORAGE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 12,000m

COMPARABLE EBIT
Not separately reported

FY2025 STORAGE DEPLOYMENTS
46.7 GWh

Q2 2026 STORAGE DEPLOYMENTS
13.5 GWh

Q2 2026 SEGMENT REVENUE
\$3.14bn

Q2 2026 ENERGY GROSS MARGIN
20.4%

Q1 2026 ENERGY GROSS MARGIN
39.5%

GLOBAL TURNKEY COST BENCHMARK
\$117/kWh (2025)

INSTALLED/PLANNED FACTORY CAPACITY
80 GWh + 50 GWh planned

INTRINSIC VALUATION BASIS
\$4.0bn EBITDA × 12.5x

08.5

Energy storage (continued)

Business division deep dive — Profit engine.

VALUATION AND BREAK POINT

The division is valued at USD 50.0bn of intrinsic EV, using USD 4.0bn of normalized EBITDA and 12.5x. The multiple is below Enphase's 13.7x 2026 EV/EBITDA and close to Toyota's 11.8x despite higher growth, reflecting project cyclicity, warranty risk and Chinese competition. Fluence's negative forecast EBITDA makes its multiple unusable, but its 0.7x 2026 EV/Sales shows how the market values unprofitable storage integrators. A 10.0x multiple would reduce value by USD 10bn, while 15.0x would add USD 10bn.

Value depends on deployment growth exceeding price erosion, gross margin normalizing after the vendor - cell charge, and capacity filling without excessive working capital. It breaks if revenue per GWh falls faster than manufacturing and procurement costs, warranties recur, or Chinese integrators push Tesla toward commodity returns. It strengthens if quarterly deployments remain above 13 GWh, normalized energy gross margin exceeds 25%, and new factories show visible backlog. The key monitor is revenue and gross profit per deployed GWh, alongside warranty charges and factory - loading evidence.

ENERGY STORAGE FACT SHEET

PROFIT ENGINE
MODEL ESTIMATE REVENUE
USD 12,000m
COMPARABLE EBIT
Not separately reported
FY2025 STORAGE DEPLOYMENTS
46.7 GWh
Q2 2026 STORAGE DEPLOYMENTS
13.5 GWh
Q2 2026 SEGMENT REVENUE
\$3.14bn
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GLOBAL TURNKEY COST BENCHMARK
\$117/kWh (2025)
INSTALLED/PLANNED FACTORY CAPACITY
80 GWh + 50 GWh planned
INTRINSIC VALUATION BASIS
\$4.0bn EBITDA × 12.5x

BATTERY - STORAGE SCALE, ECONOMICS AND COMPETITIVE POSITION			
INTEGRATOR/PRODUCT	2025 SCALE/SHARE	LATEST ECONOMICS	COMPETITIVE SIGNAL
Tesla	46.7 GWh; 10%	20.4% GM Q2'26	13.5 GWh Q2'26
BYD	>60 GWh; 13%	Scale-led pricing	Global #1 integrator
Sungrow	9% global share	Inverter integration	Global #3 integrator
Sigenergy	25% Australia 2026	Residential challenger	Led Australia early - 26
Huawei LUNA2000	35% inverter base IE	Channel-supported	Ireland residential lead

08.6

Ownership services, charging and insurance

Business division deep dive — Profit engine.

RECURRING SPEND OPPORTUNITY

This division competes for recurring spending after vehicle purchase: electricity, maintenance, parts, used vehicles and insurance. The 2026 EV-charging-station market was estimated at USD 22.93bn, while switching from combustion vehicles to EVs was estimated to save USD 1,545 of fuel annually. Tesla does not capture all displaced fuel spending. However, its approximately 38,000 US Supercharger ports represented 52% of the 73,000 public DC fast-charge ports operating in June 2026. The network generates revenue and supports vehicle demand.

FY2025 services and other revenue was USD 12.530bn, but Tesla does not separately disclose GAAP revenue for Supercharging, used vehicles, service, parts and insurance. Insurance direct premiums written were USD 1.37bn, up 40.7%, but premiums written are not the same as recognized revenue. The report therefore values the combined division rather than inventing individual revenue lines. The recurring opportunity scales with vehicles in operation, charging utilization and third-party network access.

INSURANCE INCREASES MONETIZATION BUT ADDS BALANCE-SHEET RISK

Tesla directly underwrote 75.9% of premiums in 2025, up from 32.6%, taking more claims risk onto its own carriers. The carriers reported a USD 17m underwriting gain in Q1 2026 after a reserving-methodology change, their first profitable quarter in the register. This is encouraging but does not establish a through-cycle margin. California's Department of Insurance also acted on claims handling and threatened certificate suspension. Service quality and reserving governance are therefore valuation issues, not back-office details.

OWNERSHIP SERVICES, CHARGING AND INSURANCE
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 12,530m

COMPARABLE EBIT
Not separately reported

FY2025 SERVICES REVENUE
\$12.53bn

US FAST-CHARGE PORTS
~38,000 (Jun-26)

US DC FAST-CHARGE SHARE
52%

FY2025 DIRECT PREMIUMS WRITTEN
\$1.37bn

DIRECTLY UNDERWRITTEN PREMIUM
SHARE
75.9%

Q1 2026 UNDERWRITING GAIN
\$17m

INTRINSIC VALUATION BASIS
\$2.5bn EBITDA × 10.0x

08.6

Ownership services, charging and insurance (continued)

Business division deep dive — Profit engine.

COMPETITION AND VALUATION

Tesla's US charging lead is much stronger than its international position. Electrify America and ChargePoint were estimated at 7.9% and 6.9%, respectively, in a Q2 2026 comparison. Tesla operated 2,026 rapid or ultra-rapid chargers in the UK at December 2025 and ranked behind InstaVolt. Intrinsic value is USD 25.0bn, based on USD 2.5bn of normalized EBITDA and 10.0x. The case breaks if service costs rise faster than fleet revenue, low utilization dilutes charging returns, or insurance losses and regulatory sanctions absorb cross-sell benefits.

OWNERSHIP SERVICES,
CHARGING AND INSURANCE
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 12,530m

COMPARABLE EBIT
Not separately reported

FY2025 SERVICES REVENUE
\$12.53bn

US FAST-CHARGE PORTS
~38,000 (Jun-26)

US DC FAST-CHARGE SHARE
52%

FY2025 DIRECT PREMIUMS WRITTEN
\$1.37bn

DIRECTLY UNDERWRITTEN PREMIUM
SHARE
75.9%

Q1 2026 UNDERWRITING GAIN
\$17m

INTRINSIC VALUATION BASIS
\$2.5bn EBITDA × 10.0x

CHARGING AND INSURANCE OPERATING BENCHMARKS			
OPERATOR/BUSINESS	SHARE/SCALE	LATEST ECONOMICS	POSITION
Tesla Supercharger	38k US ports; 52%	Paid utilization	US DC fast-charge leader
Electrify America	7.9% est. Q2'26	Network charging	US challenger
ChargePoint	6.9% est. Q2'26	Asset-light/network mix	Broad charging platform
InstaVolt	>Tesla UK rank	Rapid charging	UK leader Dec-25
Tesla Insurance	\$1.37bn premiums	\$17m gain Q1'26	75.9% direct risk

08.7

Solar generation

Business division deep dive — Commodity.

OPPORTUNITY AND CURRENT POSITION

Solar competes for electricity spending displaced by self-generation. Estimates of the 2025 global electricity-retailing market range from USD 3.04tn to USD 3.25tn, while the narrower solar-PV panel market was estimated at USD 198.91bn. The report uses the product and installation opportunity because Tesla does not capture the customer's entire displaced utility bill. Tesla last disclosed 223 MW of deployments in 2023 and has not separately disclosed deployments since. This suggests solar is no longer a primary growth disclosure.

The report models USD 771m of FY2025 solar revenue as the residual of the USD 12.771bn verified energy segment after assigning USD 12.0bn to storage. This is not a reported split. Tesla's US residential-solar share was estimated at 4.8% in 2023, below Sunrun's 12.7% 2025 share and Freedom Forever's 6.1% before its April 2026 bankruptcy. The market remains fragmented and financially difficult. Competitor distress may release demand, but it also signals weak installation economics.

ECONOMICS, VALUATION AND FAILURE CONDITION

Solar panels are globally commoditized. JinkoSolar and LONGi tied for the leading shipment position in H1 2026, and the top ten accounted for 59% of shipments. Tesla must therefore differentiate through customer acquisition, installation, financing and Powerwall integration, rather than module manufacturing. The intrinsic valuation assumes USD 200m of eventual EBITDA at 20.0x, or USD 4.0bn EV. The high multiple applies to a small normalized profit base and reflects bundled home-energy potential, not strong current solar economics.

SOLAR GENERATION FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
USD 771m

COMPARABLE EBIT
Not separately reported

MODELED FY2025 DIVISION REVENUE
\$771m

LAST DISCLOSED DEPLOYMENT
223 MW (2023)

US RESIDENTIAL SHARE REFERENCE
4.8% (2023)

GLOBAL PV-PANEL MARKET
\$198.91bn (2025)

US MARKET LEADER
Sunrun 12.7% (2025)

INTRINSIC VALUATION BASIS
\$0.2bn EBITDA × 20.0x

08.7

Solar generation (continued)

Business division deep dive — Commodity.

Solar ceases to be a meaningful stand-alone contributor if deployments continue to decline or remain undisclosed because they are immaterial. It could outperform if Tesla reports renewed MW growth, proves profitable Powerwall-plus-solar bundles and uses its vehicle customer base to reduce acquisition costs. Until then, solar is treated as a modest feeder for storage rather than a core enterprise-value driver.

SOLAR GENERATION FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
USD 771m

COMPARABLE EBIT
Not separately reported

MODELED FY2025 DIVISION
REVENUE
\$771m

LAST DISCLOSED DEPLOYMENT
223 MW (2023)

US RESIDENTIAL SHARE
REFERENCE
4.8% (2023)

GLOBAL PV - PANEL MARKET
\$198.91bn (2025)

US MARKET LEADER
Sunrun 12.7% (2025)

INTRINSIC VALUATION BASIS
\$0.2bn EBITDA × 20.0x

SOLAR INSTALLATION AND MODULE COMPETITION			
COMPANY	SHARE/SCALE	LATEST PERIOD	POSITION
Tesla Solar	4.8% US est.	223 MW (2023)	Deployment disclosure ceased
Sunrun	12.7% US	2025	Largest US installer
Freedom Forever	6.1% US	2025	Chapter 11 Apr - 26
JinkoSolar	Top shipment tier	H1 2026	Global module leader
LONGi	Top shipment tier	H1 2026	Global module leader

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Automotive hardware provides the installed base for FSD, service, insurance and charging. Lower vehicle prices can expand the addressable software and service base, but they destroy value if lost hardware gross profit exceeds lifetime recurring revenue.

Storage and services can fund autonomy and robotics investment, although both require capital and working capital. Solar can reduce Powerwall acquisition costs through bundling, while Supercharging can serve private vehicles and robotaxi depots.

Robotaxi could cannibalize private Tesla purchases if mobility becomes cheaper than ownership. Optimus also competes for factory capital and took over the former Model S/X line. The SOTP values each division separately but does not assume every strategic option succeeds without trade-offs.

BRIDGE MECHANICS

Profit engines are valued on normalized EBITDA using division-appropriate multiples. Pre-revenue options are valued only through explicit assumptions for future revenue share, margin, multiple, probability and discounting. The unassigned probability represents failure.

Tesla trades at 76.86x 2026 EV/EBITDA, 225.18x EV/EBIT and 267.91x P/E. The 14-peer medians are 13.7x, 19.7x and 11.2x, respectively. Mix and optionality support a premium, but only if future earnings move toward software economics.

Tesla's own normalized historical averages are also high: 101.83x EV/EBITDA and 112.06x P/E. Historical prices repeatedly capitalized future businesses, making these averages unsuitable for valuing hardware or storage on a stand-alone basis.

The reverse valuation requires 2026 EBIT of USD 22.567bn, versus the followed USD 5.672bn. It raises terminal EBIT margin to 43.2% and produces USD 7.679bn of 2026 FCFF, instead of the followed negative USD 4.454bn.

The intrinsic SOTP still assigns significant value to autonomy and Optimus. The difference is timing and probability. Limited Texas activity, California's with-driver-only status, Nevada's cap and the absence of Optimus uptime evidence do not justify treating global scale as the base outcome.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The bear case assumes persistent hardware price pressure, energy margin normalizing near the Q2 level, and zero option value because permission or commercial reliability fails. Revenue reaches USD 120bn, but a 10% EBITDA margin and a manufacturing-weighted multiple provide little support for the current share price.

The base case takes the revenue-producing divisions toward USD 155bn of revenue and USD 27.9bn EBITDA. It assigns probability-weighted value to robotaxi and Optimus, treating both as real options but not as the most likely stand-alone outcomes.

The bull case assumes driverless fleet expansion across major jurisdictions, higher FSD attachment, full storage factories and meaningful Optimus sales. Revenue reaches USD 250bn and EBITDA USD 62.5bn. As success generates cash, the scenario does not mechanically retain base-case net debt.

The path between cases is observable. Autonomous fleet caps and paid rides, FSD paying users, storage gross profit per GWh, automotive gross profit per delivery, and Optimus productive uptime determine which scenario becomes credible.

BOTTOM LINE

Tesla owns valuable physical and data assets, but the current USD 1.28 trillion enterprise value assigns most value to businesses whose permission, reliability and economics remain unproven at scale. The USD 115.8 target already includes substantial robotaxi and Optimus option value. Investors may disagree with the target but should monitor paid driverless scale, gross profit per delivery, software attachment, storage value per GWh and robot uptime when sizing positions.

FINANCIAL BRIDGE · PART 1

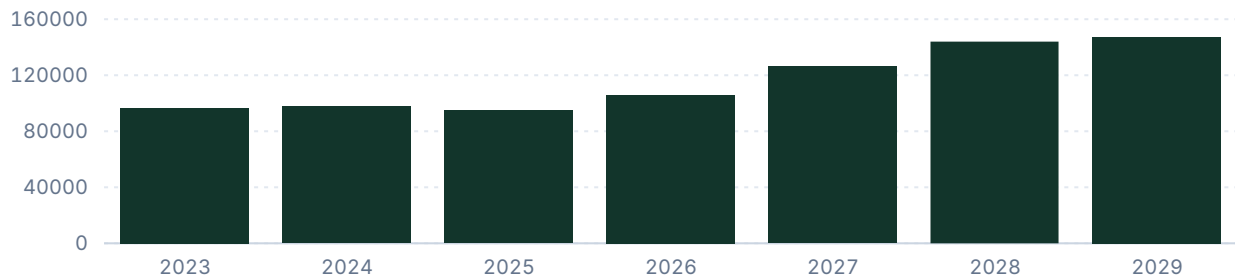
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

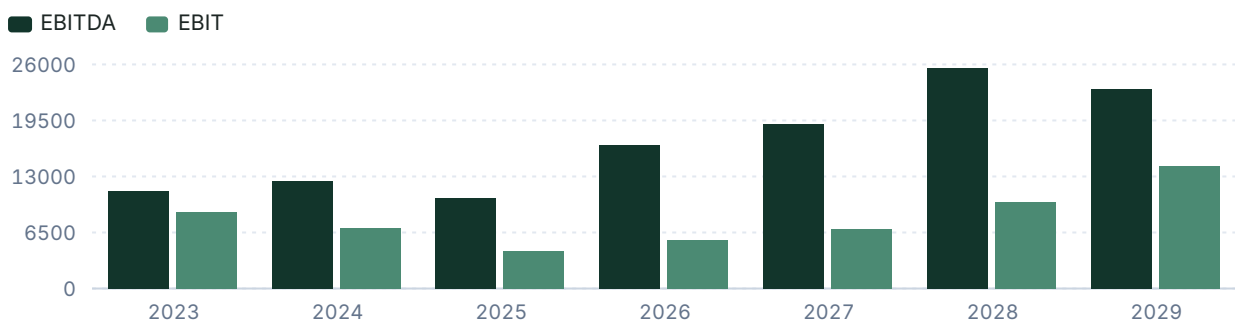
Net sales

USD millions



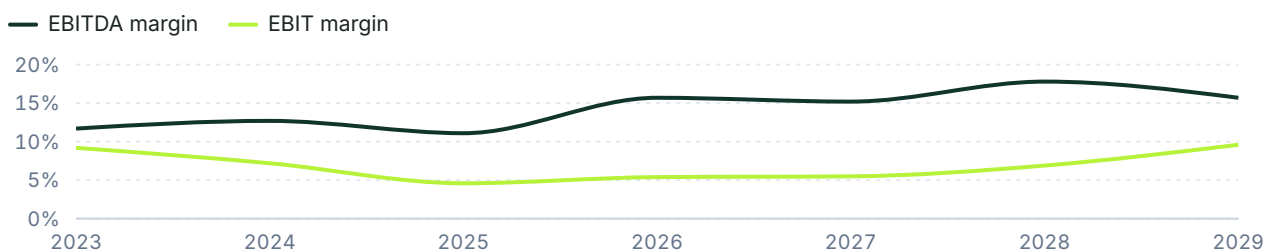
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

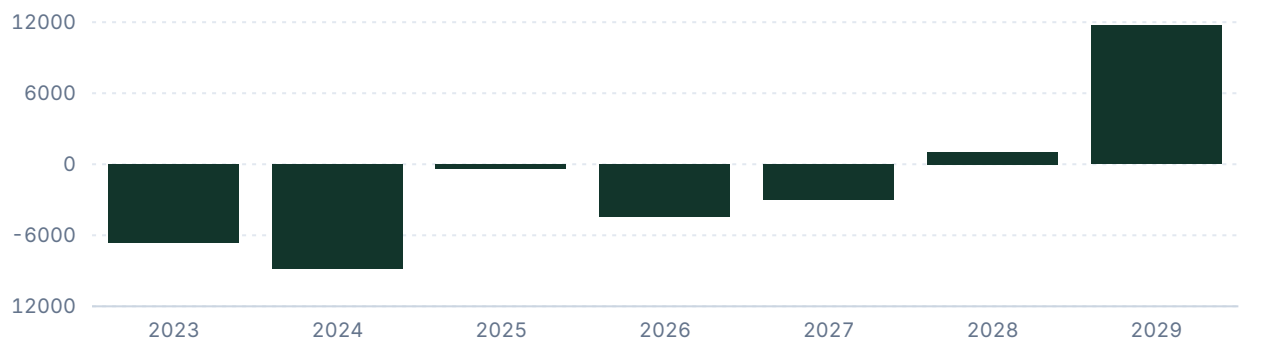
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

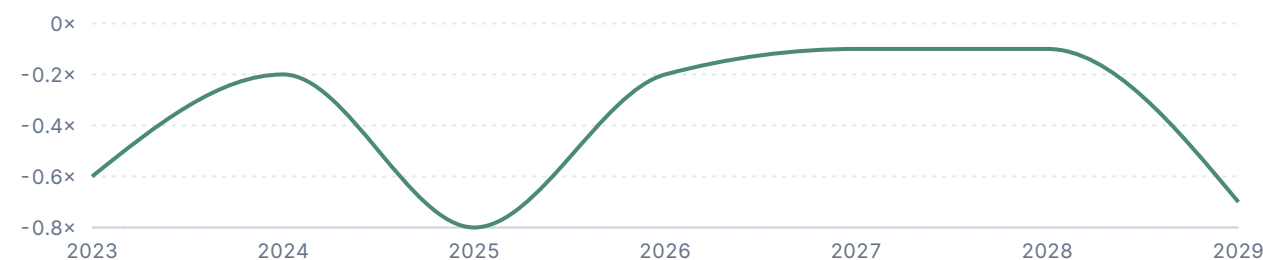
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	105,880	126,200	144,000	147,278
EBITDA	10,503	16,617	19,140	25,570	23,169
Comparable EBIT	4,355	5,672	6,890	9,980	14,179
Net Earnings	3,855	3,871	7,360	10,588	14,472
EPS (USD)	1.2	1.2	2.3	3.3	4.5
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is primary because manufacturing, software, energy, services and pre-revenue options have different economics. Profit engines use normalized EBITDA multiples within named peer brackets; robotaxi and Optimus use explicit success-state revenue, margin, multiple and probability, discounted from the scale year. Core multiples are deliberately below Tesla's option-laden history. The target gives 100% weight to SOTP, while the sensitivity isolates the effect of core EBITDA and its blended multiple.

What the market is pricing.

The USD 1,277.246bn market EV exceeds the approximately USD 189bn undiscounted core-business EV by USD 1,088bn. Using the report's discounted option success values, the quote requires roughly three to four times the base probability-weighted autonomy and robotics value—economically similar to treating broad robotaxi success as more likely than failure while also assigning substantial Optimus success.

The market assumes Broad robotaxi scale is effectively the central outcome. We assign a different reading: Base probability is 35% across two success legs; California with-driver-only status and Nevada's ten-vehicle cap keep failure the largest outcome. (California DMV, CPUC and Nevada Transportation Authority, March–August 2026)

The market assumes Tesla can rapidly approach software-platform margins. We assign a different reading: The followed 2026 EBIT margin is 5.4%; the reverse model requires 21.3% immediately and 43.2% terminally, so the market assumes an earnings-mix transition not yet visible. (Valuatum followed model and reverse valuation, 2026)

The market assumes Optimus manufacturing announcements establish commercial scale. We assign a different reading: The report assigns only 25% total probability to modeled success because no external trial, uptime, cycle-time or intervention data were verified. (Tesla Q4 2025 call; Figure/BMW and Agility evidence, June–August 2026)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For Scaled unsupervised autonomy and robotaxi platform the two readings are 702.5 billion allocated and 209.2 billion warranted.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	NORM. AVG. 2020-2025 (OUTLIERS DROPPED)
P/E	763.78x	184.52x	30.57x	52.65x	180.49x	376.22x	267.91x	112.06x
P/E adj.	764x	185x	31x	53x	180x	376x	268x	112x
EV/EBITDA	161.11x	114.67x	22.14x	69.91x	104.64x	138.54x	76.86x	101.83x
EV/EBIT	348.72x	165.84x	28.22x	89.30x	184.02x	334.11x	225.18x	191.70x
EV/Sales	22.05x	20.10x	4.73x	8.20x	13.33x	15.34x	12.06x	13.96x
P/FCF	1841.87x	2055.23x	9835.96x	-118.91x	-146.87x	-3785.32x	-232.83x	1948.55x
P/BV	29.62x	34.53x	8.62x	12.59x	17.71x	17.66x	14.77x	20.12x
P/S	20.88x	19.37x	4.73x	8.15x	13.22x	15.29x	9.79x	13.61x

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E EV/SALES	2026E EBIT MARGIN
Tesla	76.86x	12.06x	5.4%
Peer median	13.7x	1.2x	7.5%
General Motors	6.0x	0.8x	7.3%
Toyota	11.8x	1.5x	7.8%
Volkswagen	4.9x	0.6x	5.3%
Alphabet	17.4x	8.7x	33.7%
Uber	14.0x	2.8x	14.1%
Enphase	13.7x	3.8x	14.2%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Automotive hardware and leasing	2028E normalized Model...	6,000	10.0x	15.2 → 13.9 USD	
· Supervised driver-as-sistance software	2030E normalized Model...	2,500	20.0x	12.7 → 9.7 USD	
· Energy storage	2029E normalized Model...	4,000	12.5x	12.7 → 10.6 USD	
· Solar generation	2029E normalized Model...	200	20.0x	1.0 → 0.8 USD	
· Ownership services, charging and insurance	2029E normalized Model...	2,500	10.0x	6.3 → 5.3 USD	
· Scaled unsupervised autonomy and robotaxi platform (probability-weighted)	Expected enterprise value	n/a	n/a	53.0 USD	
· · base success	2032E Modeled EBITDA	50,000	15.0x	189.9 → 30.5 USD	25% prob.
· · upside success	2035E Modeled EBITDA	100,000	18.0x	455.7 → 22.5 USD	10% prob.
· Optimus humanoid robotics (probability-weighted)	Expected enterprise value	n/a	n/a	4.5 USD	
· · base success	2035E Modeled EBITDA	6,000	15.0x	22.8 → 2.2 USD	20% prob.
· · upside success	2035E Modeled EBITDA	18,000	20.0x	91.1 → 2.2 USD	5% prob.
Sum of the parts	2026E present value Pro...	n/a	n/a	96.0 USD	100%
Weighted target price				96.0 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE

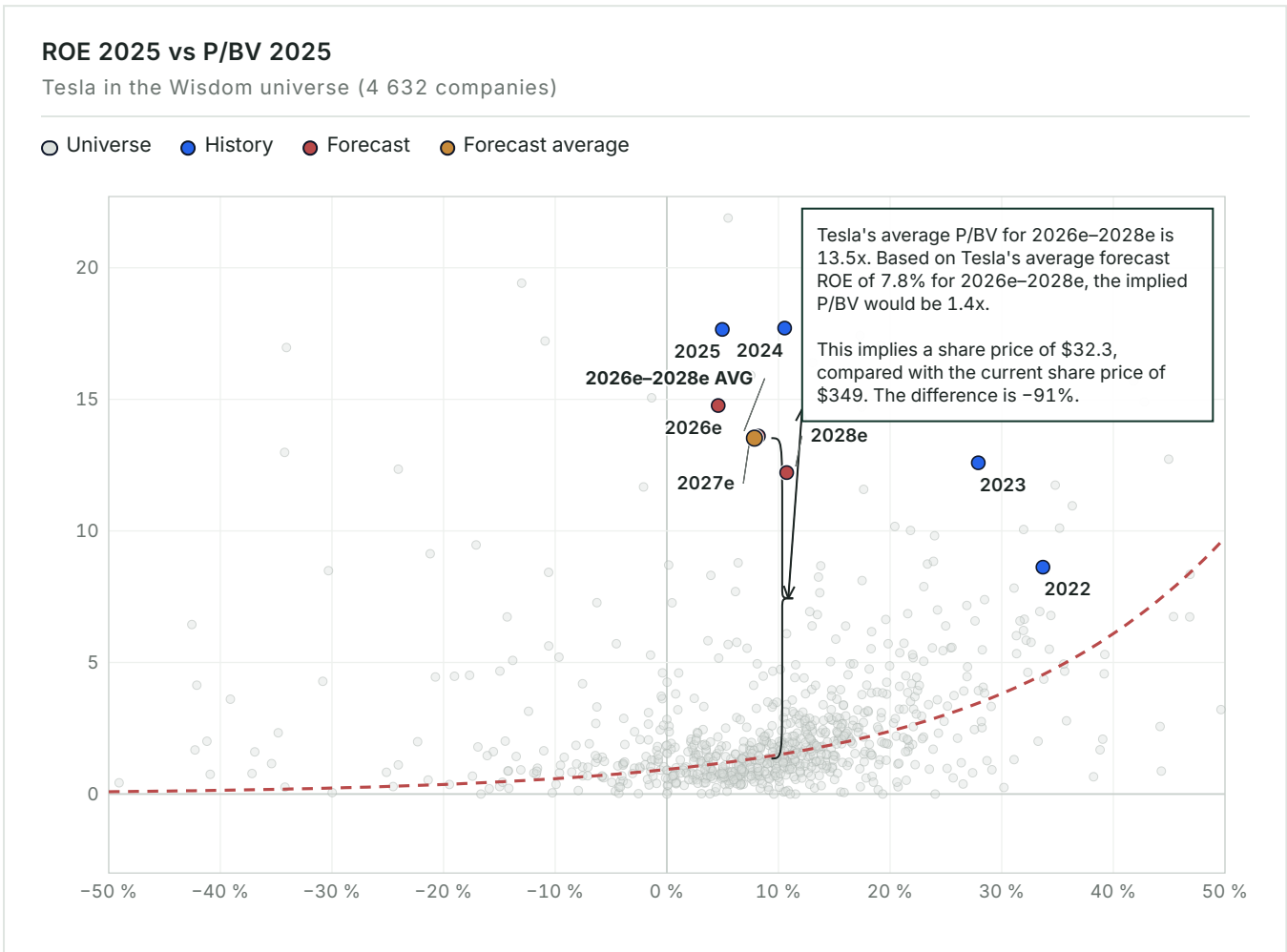
SCALED UNSUPERVISED AUTONOMY AND ROBOTAXI PLATFORM SUCCESS PROBABILITY	11.5X	14.0X	16.5X	19.0X	21.5X
17.5%	61.5	65.5	69.5	73.5	77.5

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Across 4,632 consensus companies, Tesla's average 2026–2028 forecast ROE of 7.8% corresponds to a curve-implied 1.4x P/BV, versus Tesla's 13.5x forecast average. Applied to average forecast book value per share of USD 23.9, the curve implies USD 32.3 per share, 91% below USD 348.5. The scatter is not the primary valuation because it excludes options, but it shows how little of the current price is supported by forecast balance-sheet returns.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	267.9×
EV/EBITDA	76.9×
EV/EBIT	225.2×
P / Valuatum FOCF	-232.8×
P/BV	14.8×
Dividend Yield	—
Net Debt / EBITDA	-0.2×

EBITDA × EV/EBITDA sensitivity						
CORE-BUSINESS NORMALIZED EBITDA Blended core EV/EBITDA →		8.0×	9.0×	10.0×	11.0×	12.0×
-20%	USD 106,352m	USD 119,646m	USD 132,940m	USD 146,234m	USD 159,528m	
USD 13,294m	USD 25.10 / sh	USD 28.50 / sh	USD 31.80 / sh	USD 35.20 / sh	USD 38.60 / sh	
-10%	USD 119,640m	USD 134,595m	USD 149,550m	USD 164,505m	USD 179,460m	
USD 14,955m	USD 28.50 / sh	USD 32.20 / sh	USD 36.00 / sh	USD 39.80 / sh	USD 43.60 / sh	
Base	USD 132,936m	USD 149,553m	USD 166,170m	USD 182,787m	USD 199,404m	
USD 16,617m	USD 31.80 / sh	USD 36.00 / sh	USD 40.20 / sh	USD 44.40 / sh	USD 48.60 / sh	
+10%	USD 146,232m	USD 164,511m	USD 182,790m	USD 201,069m	USD 219,348m	
USD 18,279m	USD 35.20 / sh	USD 39.80 / sh	USD 44.40 / sh	USD 49.10 / sh	USD 53.70 / sh	
+20%	USD 159,520m	USD 179,460m	USD 199,400m	USD 219,340m	USD 239,280m	
USD 19,940m	USD 38.50 / sh	USD 43.60 / sh	USD 48.60 / sh	USD 53.70 / sh	USD 58.70 / sh	

SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

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SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	120,000	12,000	10.0%	13.3×	159,453	152,184	USD 38.53	-88.9%
Base	155,000	27,900	18.0%	13.8×	386,362	379,093	USD 95.98	-72.5%
Bull	250,000	62,500	25.0%	19.6×	1,223,798	1,216,529	USD 308.02	-11.6%

KEY CONDITIONS

The bear case assumes no option value and continued manufacturing pressure. The base case uses the probability-weighted SOTP and requires higher core EBITDA plus limited commercial success in both options. The bull case prices the upper success legs: broad robotaxi authorization, low cost per mile, storage scale, high paid FSD attachment and Optimus production with commercial uptime. Higher cash generation improves the equity bridge rather than retaining base net debt unchanged. Each scenario follows the target-price bridge: profit engines as modelled, plus Scaled unsupervised autonomy and robotaxi platform and Optimus humanoid robotics at zero in Bear, at the bridge's probability weighting in Base, and at the best single scenario leg with certainty in Bull. The multiple column is implied group EV/EBITDA at that value, not a selected multiple. The code-verified 12-month target of USD 96.0 lies between Base and Bull: Bear USD 38.5, Base USD 96.0, Bull USD 308.0. Method weights are shown in the Target Price Bridge.

THESIS BREAKER

A rapid increase from tens to thousands of independently validated driverless vehicles across major jurisdictions would shift probability from failure to the bull case.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
California driverless permit application or approval	NEAR-TERM	Scaled unsupervised autonomy and robotaxi platform	DMV and CPUC permit status	Raises robotaxi success probability
Nevada fleet cap expands above ten vehicles	NEAR-TERM	Scaled unsupervised autonomy and robotaxi platform	AVNC authorization and operating domain	Validates regulatory scaling
FSD paid users and revenue disclosed separately	NEAR-TERM	Supervised driver-assistance software	Subscribers, churn and recognized revenue	Narrows software valuation range
Energy margin recovers after warranty charge	NEAR-TERM	Energy storage	Gross profit per deployed GWh	Supports normalized \$4bn EBITDA
Semi order book converts into deliveries	MEDIUM-TERM	Automotive hardware and leasing	Annual units, price and warranty cost	Diversifies hardware earnings
Optimus third-party industrial pilot begins	MEDIUM-TERM	Optimus humanoid robotics	Uptime, cycle time and intervention rate	Raises robotics success probability
Houston Megafactory reaches commercial output	MEDIUM-TERM	Energy storage	GWh capacity, backlog and utilization	Expands storage earnings ceiling
Solar deployment disclosure resumes	LONG-TERM	Solar generation	MW growth and bundled margin	Tests whether solar remains viable
READ - THROUGH Storage-margin normalization and factory loading could improve near-term earnings even if autonomy takes longer. For Optimus, only third-party evidence of productive hours should materially raise probability. Vehicle and Semi volumes matter only when accompanied by gross-profit, warranty and utilization data.				

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Vehicle price cuts outrun cost reductions	Supervised driver-assistance software	Lower gross profit offsets fleet and attach growth	Revenue per delivery and ex-credit margin fall	HIGH	STRUCTURAL
Driverless permits remain geographically narrow	Scaled unsupervised autonomy and robotaxi platform	Fleet cannot reach utilization or revenue scale	California unchanged; Nevada cap persists	HIGH	THESIS BREAKER
Autonomy safety incidents trigger restrictions	Supervised driver-assistance software	Investigations reduce permission and attachment	Crash rate, recalls and permit conditions worsen	HIGH	THESIS BREAKER
Storage prices fall faster than system cost	Solar generation	Revenue per GWh and factory returns compress	Deployment grows faster than revenue and profit	HIGH	MANAGEABLE
Optimus uptime fails commercial thresholds	Optimus humanoid robotics	Labor savings disappear after supervision and downtime	No third-party cycle or intervention data	HIGH	STRUCTURAL
Insurance reserving or conduct deteriorates	Ownership services, charging and insurance	Claims losses and sanctions consume cross-sell profit	Reserve additions or California suspension action	MEDIUM	MANAGEABLE
Capital spending stays above cash generation	Optimus humanoid robotics	Options consume cash before commercial proof	FCFF remains negative after 2028	HIGH	THESIS BREAKER
READ - THROUGH Safety and regulation are asymmetric risks because one serious failure can delay operations across several jurisdictions. Storage and insurance risks are more manageable through procurement, warranties, pricing and reserving, but recurring charges would show that current normalized-margin assumptions are too high.					

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	96,773	97,690	94,827	105,880	126,200	144,000
EBITDA	11,358	12,444	10,503	16,617	19,140	25,570
EBITDA margin	11.7%	12.7%	11.1%	15.7%	15.2%	17.8%
Depreciation	-2,467	-5,368	-6,148	-10,945	-12,250	-15,590
Operating Profit (EBIT)	8,891	7,076	4,355	5,672	6,890	9,980
EBIT margin	9.2%	7.2%	4.6%	5.4%	5.5%	6.9%
Net financial items	1,082	1,914	923	-282	1,000	1,370
Pre-tax Profit	9,973	8,990	5,278	5,390	7,890	11,350
Net Earnings	14,976	7,153	3,855	3,871	7,360	10,588
PER SHARE						
EPS	4.7	2.2	1.2	1.2	2.3	3.3
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	45,123	51,507	40,643	49,036	58,447	66,690
Intangibles	362	1,226	135	151	180	205
Goodwill	253	244	257	257	257	257
Non-current assets	50,269	57,186	62,239	70,648	80,087	88,356
Inventories	13,626	12,017	12,392	13,552	16,153	18,431
Receivables	19,592	30,204	39,737	40,158	41,117	41,957
Cash & equivalents	16,398	16,139	16,513	18,107	21,582	24,626
Current assets	49,616	58,360	68,642	71,817	78,852	85,014
Total Assets	106,618	122,070	137,806	149,390	165,864	180,296
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	86,736	94,096	104,684
Long-term debt	2,682	5,535	6,736	7,313	10,083	10,440
Short-term debt	1,975	2,343	1,640	7,313	10,084	10,440
Long-term liabilities	9,345	13,824	23,227	23,804	26,574	26,931
Current liabilities	28,748	28,821	31,714	38,850	45,194	48,681
Total liabilities & equity	106,618	122,070	137,806	149,390	165,864	180,296
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	-3,481	-1,415	-3,745
Capital invested	51,868	65,419	74,728	83,255	92,681	100,939
Equity ratio	59.7%	60.4%	60.1%	58.1%	56.7%	58.1%
Gearing	-10.7%	-3.4%	-9.8%	-4.0%	-1.5%	-3.6%
Net debt / EBITDA	-0.6×	-0.2×	-0.8×	-0.2×	-0.1×	-0.1×
Current ratio	1.7	2	2.2	1.9	1.7	1.8

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	10,553	3,171	3,691	14,697	19,624	26,190
Operating cash flow (Valuatum calculation)	3,263	1,868	2,616	14,900	18,691	24,912
Change in working capital	7,474	9,298	6,312	118	-13	-12
INVESTING & FREE CASH						
Gross capex	11,643	12,285	11,201	19,354	21,690	23,859
Capex (ex. M&A)	-11,643	-12,285	-11,201	-19,354	-21,690	-23,859
Cash after capex (CFO - gross capex)	-1,090	-9,114	-7,510	-4,656	-2,066	2,331
Free operating cash flow (Valuatum def.)	-6,634	-8,791	-383	-4,454	-2,999	1,053
Free cash flow to firm	-6,632	-8,791	-383	-4,454	-2,999	1,053
FINANCING						
CF from financing	8,306	8,594	8,285	6,250	5,541	713
Dividends paid	—	—	—	—	—	—
Net change in cash	7,216	-520	775	1,594	3,475	3,044

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	22,387	28,236	27,500	27,757
EBITDA	2,531	398	4,500	9,188
EBITDA margin	11.3%	1.4%	16.4%	33.1%
Comparable EBIT	941	398	3,000	1,333
EBIT margin	4.2%	1.4%	10.9%	4.8%
Net Earnings	491	1,128	1,483	769
EPS	0.2	0.4	0.5	0.2

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12823, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, TSLA financialmodelingprep.com	MARKET DATA	Price chart & market facts
Q4 and FY 2025 Update	assets-ir.tesla.com/.../TSLA-Q4-2025-Update.pdf	OFFICIAL SOURCE	Reported segment table
In Q1 2026, Tesla generated \$381 million from automotive le...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla, Inc.
Tesla deployed a total of 13.5 GWh of energy storage produc...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla
Tesla's energy generation and storage revenue reached USD 3...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla
Tesla's energy gross margin fell to 20.4% in Q2 2026 from 3...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla
Tesla's solar deployments reached 223 MW in 2023, but the c...	ir.tesla.com/.../tsla-20231231.htm	OFFICIAL SOURCE	Tesla, Inc.

DISCLAIMER

This research is prepared from the supplied company filings, analyst-maintained financial model, peer data and named third-party sources. Estimates, modeled division splits, scenario probabilities and valuation assumptions are not company guidance. The report is for institutional investment analysis, not personalized investment advice, and readers should independently verify source data and suitability.

This report contains an investment recommendation: a rating and a 12-month target price for the subject company's share. It is not personalised investment advice and takes no account of any individual recipient's objectives, financial situation or needs.

The target price is derived from base success, upside success, Sum of the parts, weighted as shown in the target price bridge, against peer-group and historical multiples. The valuation methodology, key assumptions and their sensitivities are presented in the valuation section of this report.

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